

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-12

DOLLAR GENERAL LOGISTICS, LLC

v.

YANG MING MARINE TRANSPORT CORP.

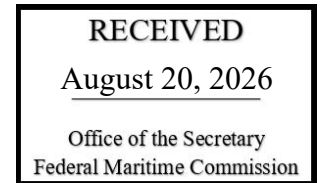
VERIFIED AMENDED COMPLAINT

I. INTRODUCTION

1. Complainant Dollar General Logistics, LLC (“Dollar General” or “Complainant”), by its undersigned counsel, brings this Verified Amended Complaint (the “Amended Complaint”) against Respondent Yang Ming Marine Transport Corp. (“Respondent” or “Yang Ming”) pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainant caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), alleged herein.

2. Yang Ming is a leading global ocean container shipping company. Based on capacity, Yang Ming is currently the tenth-largest vessel-operating ocean common carrier in the world. According to Yang Ming’s public statements, as of May 2025, it operates a fleet of 100 vessels with an 8.223 million deadweight tonnage capacity and an operating capacity of 724,000 twenty-foot equivalent units (“TEUs”).

3. In addition to its own dedicated carrying capacity, Yang Ming also coordinates its activities with other major shipping lines. Until early 2025, Yang Ming was part of the “THE



Alliance” with fellow vessel-operating ocean common carriers Ocean Network Express Pte. Ltd. (the sixth largest), Hapag Lloyd AG (the fifth largest), and HMM Company Limited (the eighth largest). The THE Alliance was the second-largest global shipping alliance in the world, with a combined deployed capacity of 3.03 million TEUs, representing 12% of global ocean shipping capacity. As of February 2025, Yang Ming has formed a new alliance with Ocean Network Express Pte. Ltd. and HMM Company Limited called the “Premier Alliance” for another five years.

4. As alleged herein, Yang Ming has engaged in a practice of systematically failing to meet its service commitments to Complainant and other shippers. Relevant here, Complainant entered into a service contract (the “2021 Service Contract”) with Yang Ming for the period of May 1, 2021 through April 30, 2022 (the “2021 Shipping Year”). The 2021 Service Contract specified a minimum quantity commitment (“MQC”) of cargo to be shipped and a corresponding service commitment by Yang Ming to provide vessel space sufficient to carry that MQC. Instead of honoring its service commitment to Complainant under the 2021 Service Contract, Yang Ming systematically failed to meet that service commitment, and instead apparently allocated Complainant’s bargained-for space to higher-priced cargo from other shippers to maximize Yang Ming’s own profits. As a result, Complainant was forced to obtain space on the spot market at enormous expense during a period of unprecedented high spot market prices.

5. Discovery in this action has shown that this practice was part of a premeditated policy of discrimination against Yang Ming’s various customers, including Complainant, based on a customer’s willingness to pay higher rates and surcharges for cargo space notwithstanding the fixed rates that Yang Ming negotiated and agreed to in its service contracts. Before the prior 2020–2021 shipping year was even over, Yang Ming had already decided on a strategy for the upcoming year: “to increase account base . . . to cover the loss [of] support from existing

accounts.”¹ Prior to January 2021, Yang Ming employees discussed this strategy at two transpacific management meetings that resulted in Yang Ming seeking to focus on signing new accounts and growing its account base for the 2021 Shipping Year.² After hearing concerns from its North Atlantic region salespeople about this strategy, Yang Ming management attached a FreightWaves article (“*Trans-Pacific shipping rates just popped to new all-time high*”) and declared that: “*2021 contract season should be in favor of carriers.*”³ One Yang Ming employee also noted: “*Now that we are making money everybody is mad at us. So be it.*”⁴ Yang Ming well understood that when customers face space shortages, contract negotiations with shippers would benefit Yang Ming.⁵

6. Yang Ming’s internal strategies explicitly de-prioritized cargo from shippers who did not agree to pay premium surcharges. Yang Ming’s employees were asked to “gather the intention of customers *so we can conclude and decide our direction/action toward customer who holds different stances*” regarding peak season surcharges (“PSS”) and to “report the outcome” of “those who accept and will file full amount” *and those who “raise[] objection[s].”*⁶ Complainant, identified by its Service Contract No. 456121, with an MQC of 2,226 FEUs, was explicitly categorized as having no PSS agreement, a designation indicating that no follow-up action was required by Yang Ming’s pricing and sales teams as to Complainant and that Yang Ming would

¹ Ex. 39 (YM_01105410).

² Ex. 39 (YM_01105410).

³ *Id.* (emphasis added).

⁴ Ex. 11 (YM_00013570) (emphasis added); Nickels Dep. Tr. 140:10-17 (“Q What did you mean by we were using our shirts for years and years? A Well, carriers lost money for many years in a row. And when we started making some money during the COVID years, some shippers were mad at us. But, you know, so be it. We had lost money for years, and nobody cared at that time. So they got mad because we were making a little money.”).

⁵ Chen Dep. Tr. 55:11-16.

⁶ Ex. 14 (YM_00054408).

prioritize its other customers, who may have been willing to pay additional PSS, for cargo space allocations.⁷

7. Yang Ming's pursuit of higher revenue led to a documented policy of favoring "Premium" and spot-market rates over existing service commitments. Yang Ming's internal emails described this practice in stark terms, saying that its customer Yang Ming NVOCC Customer No. 1⁸ "*understand[s] the common market practice by the act of customers that they will try to book with premium rate first then FAK and fixed(NAC) just become very rare*" and that "*fixed(NAC) will be still the last priority in the market.*"⁹

8. Yang Ming's internal communications reveal an awareness that core beneficial cargo owner ("BCO") accounts were being sacrificed in favor of more profitable freight, and Yang Ming's internal lifting reports confirmed the depth of this failure.¹⁰

9. Discovery in this action suggests that Yang Ming's practices were knowing and deliberate, were not due to an absence of available cargo space or necessitated by any other circumstance outside of Yang Ming's control, but instead reflect Yang Ming's corporate philosophy and strategy, as exemplified in training and other educational materials Yang Ming provides to its employees.¹¹ Indeed, Yang Ming's own employees described its policies as

⁷ Ex. 15 (YM_00054410).

⁸ Herein, the names of Yang Ming's shipping customers have been pseudonymized by assigning each such entity a respective pseudonym title and number (e.g., "Yang Ming NVOCC Customer No. 1", "Yang Ming BCO Customer No. 1").

⁹ YM_02033774 (emphasis added).

¹⁰ Ex. 55 (YM_00611914). "The legal definition of a BCO is the 'importer of record, who physically takes possession of cargo at destination, and does NOT act as a third party in the movement of such goods.' Another definition of BCO is 'the party that ultimately owns the product being shipped'." *What are beneficial cargo owners and why should we care?*, Supply Chain Mgmt. Rev. (Jan. 3, 2023), available at https://www.scmr.com/article/what_are_beneficial_cargo_owners_and_why_should_we_care

¹¹ Wu Dep. Tr. 10:10-12:19; 36:5-42:14; 43:18-46:1; 48:20-50:19; 50:20-24; 51:1-60:7; 63:11-66:1.

*“basically raffling space to the highest payer”*¹² and explicitly acknowledged that its practices risked bringing Yang Ming into the public eye and inviting scrutiny from regulators, including the Federal Maritime Commission (the “FMC” or “Commission”).¹³

10. Discovery in this action has also revealed that Yang Ming engaged in retaliation against Complainant in response to Complainant raising concerns and complaints related to Yang Ming’s unjust and unreasonable practices, including Yang Ming’s failure to meet its service commitment under the 2021 Service Contract and Yang Ming’s imposition of unjust and unreasonable detention and demurrage charges. Yang Ming’s retaliatory behavior included deliberately refusing to allocate cargo space to Complainant (while telling Complainant that Yang Ming’s refusal was due to “congestion” and other factors stemming from the COVID-19 pandemic) and punishing Complainant for its complaints by refusing to engage in good-faith negotiations for a service contract for the 2022–23 shipping year, demanding artificially inflated rates and reducing the MQC offered to Complainant.¹⁴

11. Internally, these actions were explicitly intended and recognized by Yang Ming’s employees as discriminatory and retaliatory. In early 2022, Yang Ming imposed a retaliatory booking restriction on certain of Complainant’s bookings to the Ports of Los Angeles and Long Beach while intentionally hiding the reason for that restriction from Complainant. On March 24, 2022, Yang Ming’s manager responsible for the region in which Complainant was based during the 2021 Shipping Year explicitly stated that Yang Ming had told Complainant that its bookings

¹² Ex. 58 (YM_02039881) (emphasis added).

¹³ Ex. 53 (YM_00617077) (emphasis added).

¹⁴ Compare Ex. 43 (DGPMC-0001759) (1,321 FEU MQC) with Ex. 1 (2021 Service Contract) (2,226 FEU MQC).

were being rejected due to “congestion” even though the real reason was Yang Ming’s concern about potential legal complaints from Complainant.¹⁵

12. Discovery in this action has further revealed that, as part of its strategy for contract negotiations for the 2022–2023 shipping year, Yang Ming specifically targeted Complainant and other “top complaining customers” for significant cuts in offered MQC—in Complainant’s case (similar to “top of the list” customer Yang Ming BCO Customer No. 1) a cut of **more than 40%**, above and beyond even Yang Ming’s planned 25% **across-the-board** cut of its customers’ MQCs.

¹⁶ Yang Ming’s internal documents show, in contrast to Yang Ming’s external representations to its customers, that specific customers, including Complainant, were targeted for what Yang Ming’s employee Michael Wu euphemistically characterized in his deposition testimony as “reduced collaboration.”¹⁷

13. Yang Ming knew Complainant and certain other customers were particularly unsatisfied with Yang Ming’s poor performance, deliberately tracked those customers, and targeted them for reduced service in upcoming contract negotiations.¹⁸ On January 3, 2022, Yang

¹⁵ Ex. 63 (YM_01680094); Ex. 63a (YM_01680094 (Certified Translation))

¹⁶ Ex. 5 (YM_0177727); Ex. 64 (YM_01025904); Ex. 41 (YM_00601422); Hsu Dep. Tr. 90:1-9 (“Based on this email you have no reason to believe this 25 percent MQC reduction was being applied only to customer comment, correct? A. Just based upon this email, I cannot tell that these practice was only applicable to Comet. Q. So it’s possible it was applicable to other of Yang Ming’s customers, correct. A. Yes.”); Chen Dep. Tr. 78:22-79:13 (“Did you ever tell her, or did anyone else at Yang Ming, to your knowledge, ever tell her that we were cutting -- you were cutting back MQC 25 percent? A. Having considered the severity of Covid-19, and its impact to the logistics and supply chain in 2021, when we planned for the new contracts for 2022, we considered the situation in the previous year. And also, we were not sure that for 2022, whether Covid may become more severe or disappeared. Therefore, when we set the MQC goal for 2022, that was based on a situation of 2021. And we reduced MQC goal by 25 percent. So it really reflected the impact of Covid. And also, the impact to the supply chain. And also, its effect on the supply of the spaces.”); YANGMING00039215 (emphasis added); Complainant’s Appendix to the Opening Brief, *Bed Bath & Beyond Inc. v. Yang Ming Marine Transport Corp.*, FMC Docket No. 23-10, (Mar. 6, 2025) (Doc. No. 41); Revised Complainant’s Appendix to Opening Brief (Public Redacted), *Bed Bath & Beyond Inc. v. Yang Ming Marine Transport Corp.*, FMC Docket No. 23-10, (May 28, 2025) (Doc. No. 57).

¹⁷ Wu Dep. Tr. 137:1-2

¹⁸ Ex. 64 (YM_01025904) (emphasis added); Wu Dep. Tr. 137:1-2 (“... [T]herefore, for these customers, we may consider reducing collaboration with them.”).

Ming announced a policy of tracking its customers who presented a risk of submitting complaints to the relevant regulatory authority (i.e., the Commission), and in the very same email, Yang Ming’s senior management responsible for the region in which Complainant was based circulated an Excel spreadsheet of such customers that listed, at the very top, Complainant.¹⁹

14. Yang Ming’s publicly reported financial results demonstrate that it profited greatly from the conduct alleged herein. In its 2021 Annual Report, Yang Ming stated that “the overall results in 2021 were better than expected” and it was “[b]lessed with the extraordinary performance in 2021.” For the year 2021, Yang Ming reaped a net income of NT\$165.602 billion [equivalent to US\$5.39 billion], *an increase of 1,258.86 percent* from NT\$12.187 billion [equivalent to US\$397 million] from 2020, which itself was an increase of *400 percent* from its 2019 results.²⁰ This yielded for Yang Ming in 2021 a net income to revenue margin percentage of 49.6%, which exceeded the overall industry’s already extraordinary net income to revenue margin percentage by 12.8 percentage points. This outsized financial performance even relative to industry peers during a time of unprecedented industry profits was driven not by increased volume—to the contrary, Yang Ming’s total volume of cargo carried in 2021 actually declined by approximately 13% compared to 2020, and by approximately 18.8% compared to 2019—but instead by pricing practices that were even more brazen than those of its industry peers, including its alliance partners. In particular, Yang Ming’s revenue per TEU increased approximately *167%* in 2021 compared to 2020, approximately twice the comparable increases for fellow alliance partners ONE and Hapag-Lloyd, reflecting the extent of Yang Ming’s deliberate strategy of abandoning its fixed-rate BCO

¹⁹ That spreadsheet also listed a number of Yang Ming’s other customers, including Yang Ming BCO Customer No. 1, and Yang Ming’s service performance for those customers, including Yang Ming’s MQC shortfalls for those customers. Ex. 54 (YM_00617081).

²⁰ Except where otherwise noted, all bold and italicized text reflects added emphasis.

contract commitments in favor of the drastically higher spot market rates that its non-vessel-operating common carrier (“NVOCC”) customers were paying.²¹

15. Compared to the pre-pandemic era, Yang Ming saw a strong spike in profitability in 2020 and 2021²² driven by surging global demand and significant rate increases across all trade lanes, which led to improved operational performance worldwide.²³ Discovery in this action reflects that Yang Ming prioritized maximizing revenue above all else, and that this choice was within Yang Ming’s control.²⁴

²¹ The Shipping Act defines an NVOCC as “a common carrier that . . . does not operate the vessels by which the ocean transportation is provided . . . and . . . is a shipper in its relationship with an ocean common carrier” (i.e., the vessel-operating common carrier that is actually transporting the cargo). 46 U.S.C. § 40102(17).

²² Cobb Dep. Tr. 189:7-14 (“Q. Do you have an understanding of how Yang Ming’s revenue changed during the period of -- over the period of 2019 to 2022? A. I do. Q. And what was that? A. Quite a bit. I don’t know what we made, but we were profitable in 2020 and 2021. And we were not profitable before that.”); Krueger Dep. Tr. 81:19-82:3 (“Q. Do you have an understanding of how Yang Ming’s revenues changed between 2019, 2020 and 2021? A. Sure. Q. And can you tell me about that? A. I’m assuming our revenue increased during those years. Q. Why do you assume that? A. Because I saw the spot market rates fluctuate very high.”).

²³ Cobb Dep. Tr. 189:24-190:13 (“Q. And were there conversations that you had within Yang Ming about what was driving these increases? A. Yes. Q. And what were those conversations? A. Well, all the trade lanes were full. All the rates were up substantially for all trade lanes. So it was just -- since we were profitable on inner Asia, Asia to Europe, Latin America, and then, of course, the TP trade, both export and import, that allowed us to be profitable. Q. And was this something just of general knowledge within Yang Ming, that folks were talking about? A. Yes.”).

²⁴ Krueger Dep. Tr. 104:4-10 (“Q. You seem to be saying here that maximizing revenue was also one of the factors. That is not one of the factors that was outside of Yang Ming’s control, was it? A. Not necessarily, no. I mean, it was - it was within our control, sure.”); *id.* 105:14-22 (“Q. So when you wrote this, why did you feel that maximizing revenue played a role in these issues? A. Why did I feel that it created? Q. Yes. A. Well, I mean, our company is in the business to make money. So obviously maximizing revenues is always on the forefront of the company’s mind.”); Ex. 8 (YM_01788635); Wu Dep. Tr. 105:8-106:19 (“Q. What’s your understanding of your sentence here, ‘overwhelming new contracts’? A. . . . **Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients.** For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. **However, from the perspective of the headquarters, we want more customers to divide up our target.** So, for example, let’s say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. **However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’**”) (emphasis added).

16. Yang Ming's profitability has come at the direct expense of businesses and consumers in the United States. During the COVID-19 pandemic, many companies, similar to Complainant, endured unprecedented increases in freight costs.

17. Profiteering by container lines injures not only shippers but the entire consumer public, in the form of inflation. Inflation in the United States rose to crisis levels and led to extreme fiscal tightening in the form of increased interest rates, while global ocean carriers, including Yang Ming, reported windfall profits. Indeed, the International Monetary Fund released an Analytical Series report on January 24, 2023 indicating that "[t]he 2021 surge in global shipping costs was a canary in the coal mine for the persistent rise in inflation" and that "[g]iven the actual increase in global shipping costs during 2021, we estimate that the impact on inflation in 2022 was more than 2 percentage points—a huge effect that few central banks would dismiss."

18. Yang Ming was not alone in breaching its service commitments since the onset of the COVID-19 pandemic, and Complainant is not the only shipper to have suffered from such misconduct. In *MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA*, FMC Docket No. 21-05, the FMC's Chief Administrative Law Judge found that the Shipping Act violations alleged in that case, which parallel Yang Ming's practice of failing to meet its service commitment to Complainant as alleged herein, "are of national significance, for example, that one of the largest container lines in the world 'sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases' by the 'practice of systematically failing to meet its quantity commitments'" When MSC chose to suffer a decision on default against it rather than comply with its discovery obligations in that case, the Chief Administrative Law Judge found that "[r]esolution of these allegations would provide clarity and guidance in the marketplace and benefit not just these parties, but also the shipping

public.” The decision on default against MSC in that case was subsequently affirmed by the Commissioners of the FMC in a unanimous 5-0 decision, finding that “the ALJ had properly determined that the FMC has jurisdiction over MCS’s claims and that those claims were adequately stated.” The recent Initial Decision in *20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited*, FMC Docket No. 23-02, further confirms that such misconduct was a systemic industry practice rather than an isolated incident. In that case, the Commission’s Chief Administrative Law Judge found that “[t]he evidence shows that [Respondent Carrier]’s space allocation system was unreasonable and that [Respondent Carrier] did not make a good faith effort to make space available to BBY.”²⁵ Similar to the respondent carrier in that case, here, Yang Ming committed multiple violations of the Shipping Act by “prefer[ring] higher-priced freight at the expense of its service commitments, unreasonable coerced overcharges, and unreasonably shifted space to higher-priced cargo.”²⁶

19. Yang Ming’s conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant and other shippers occurred on a normal and customary basis.

20. Accordingly, pursuant to 46 U.S.C. Section 41301, Complainant brings this Amended Complaint seeking reparations for injuries, including lost profits, caused by Yang Ming’s violations of the Shipping Act, as alleged herein.

II. THE COMPLAINANT

21. Complainant Dollar General Logistics, LLC is a corporation existing under the laws of Tennessee with its principal place of business located at 100 Mission Ridge Dr., Goodlettsville,

²⁵ *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Ltd. And OOCL (Europe) Ltd.*, Docket No. 23-02, slip op. at 126 (F.M.C. Apr. 24, 2026).

²⁶ *Id.* at 145.

Tennessee 37072, telephone 615-855-4000, and reachable via its undersigned counsel's telephone numbers and email addresses listed below. For purposes of the allegations of this Amended Complaint, Complainant was a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

III. THE RESPONDENT

22. Upon information and belief, Respondent Yang Ming Marine Transport Corp. is a company existing under the laws of Taiwan with its principal place of business located at No. 271, Ming De 1st Road, Cidu District, Keelung 20646, Taiwan, acting in the United States by and through its agent, Yang Ming (America) Corp., a company existing under the laws of the State of New York with its principal place of business located at One Newark Center, 1085 Raymond Blvd., 9th Floor, Newark, NJ 07102. Respondent Yang Ming Marine Transport Corp. is an "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 000138.

23. Upon information and belief, Respondent Yang Ming Marine Transport Corp. and its agent Yang Ming (America) Corp. acted jointly in the conduct alleged herein with respect to Complainant and other shippers, and therefore are referred to herein collectively as "Yang Ming."

IV. JURISDICTION AND LEGAL AUTHORITY

24. The FMC has subject-matter jurisdiction over this Amended Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309.

25. The FMC has personal jurisdiction over Respondent Yang Ming Marine Transport Corp. as an "ocean common carrier", as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a "service contract", as that term is defined by 46 U.S.C. Section 40102(21), with Complainant.

26. By definition, Yang Ming’s 2021 Service Contract with Complainant required Yang Ming to “commit[] to a certain rate or rate schedule *and a defined service level, such as assured space*, transit time, port rotation, or similar service features”²⁷, and in fact explicitly and specifically required Yang Ming to provide weekly space at a level *not less than 130%* in instances where Complainant provided forecasts four weeks from a scheduled shipping week.²⁸

27. Yang Ming’s practice alleged herein of systematically failing to meet its service commitment constitutes a failure by Yang Ming to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and other shippers, in violation of 46 U.S.C. Section 41102(c).

28. Yang Ming’s practice of systematically failing to meet its service commitment also constitutes the provision of service in the liner trade that was not in accordance with the rules and practices contained in its 2021 Service Contract with Complainant, in violation of 46 U.S.C. Section 41104(a)(2).

29. Yang Ming’s actions alleged herein further constitute unreasonable refusals to deal or negotiate with Complainant, in violation of 46 U.S.C. Section 41104(a)(10).

30. Yang Ming’s practices alleged herein of systematically failing to provide vessel space for Complainant’s cargo originating from or destined for the ports intended to be covered by Complainant’s 2021 Service Contract—including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United

²⁷ 46 U.S.C. § 40102(21) (emphasis added); *accord* 46 C.F.R. § 530.3(q); *see also* 46 U.S.C. § 40502(c)(7) (requiring service contracts to include “service commitments” as essential terms); 46 C.F.R. § 530.8(b)(5) (same); 46 C.F.R. § 530.8(c) (providing for the certainty of terms in service contracts by, *inter alia*, prohibiting such essential terms from being “uncertain, vague or ambiguous”).

²⁸ Ex.1 (DGFMC-0000001).

States—while simultaneously providing vessel space to other higher-paying shippers on the same routes, constitute unfair and unjustly discriminatory practices in the matter of rates or charges with respect to those ports, in violation of 46 U.S.C. Section 41104(a)(5).

31. Yang Ming’s practices alleged herein of systematically failing to provide vessel space for Complainant’s cargo originating from or destined for the ports intended to be covered by Complainant’s 2021 Service Contract—including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States—gave undue or unreasonable preference or advantage to other shippers shipping to or from those ports and imposed undue or unreasonable prejudice or disadvantage on Complainant’s cargo to be shipped to or from those ports, in violation of 46 U.S.C. Section 41104(a)(9).

32. Yang Ming’s practices and conduct alleged herein of retaliating against Complainant’s complaints about Yang Ming systematically failing to meet its service commitments to Complainant, and other conduct alleged herein, constitute unlawful retaliation against Complainant in violation of the former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d).

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

Yang Ming Systematically Failed to Meet Its Service Commitment to Complainant under the 2021 Service Contract

33. Complainant and Yang Ming entered into the 2021 Service Contract, effective as of May 1, 2021, and covering the time period from May 1, 2021 through April 30, 2022. The 2021 Service Contract set its MQC and service commitment at 2,226 forty-foot equivalent container units (“FEUs”), corresponding to an average monthly allocation of 185.5 FEUs, and expressly required Yang Ming to provide weekly space at a level *not less than 130%* of the weekly prorated

portion of that MQC when Complainant provided forecasts four weeks in advance of a scheduled shipping week.²⁹

34. Instead of honoring its service commitments, Yang Ming undertook a practice of systematically failing to make space available under the 2021 Service Contract, resulting in mounting shortages. All told, despite committing to provide 2,226 FEUs of space to Complainant during the 2021 Service Contract's term, Yang Ming provided only approximately 616 FEUs of space to Complainant—**73% less** than committed.

35. As a result of the approximately 1,610-FEU shortfall, Complainant was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely.

Yang Ming made service commitments despite knowing that it would not, in fact, satisfy those commitments.

36. Yang Ming's practice, which it maintained during the 2021 Shipping Year, in the midst of the COVID-19 pandemic and its associated disruptions, was to attempt to commit its ***entire*** anticipated shipping volume under service contracts, or even to enter into service contracts that ***exceeded*** its anticipated shipping volume, rather than reserve any space for possible issues that might arise during the shipping year that could impact its ability to meet its service commitments to all of its customers, including BCOs such as Complainant.³⁰

37. Far from an honest mistake in over-promising space to customers, discovery in this case confirms Yang Ming knew ***before the beginning of the 2021 Shipping Year*** that it had overcommitted space to its service contract customers and would not be able to satisfy the signed

²⁹ Ex.1 (DGFMC-0000001).

³⁰ Wu Dep. Tr. 105:8-106:19; Ex. 39 (YM_01105410); YM_00056134; Ex.19 (YM_01769468); YM_00814513; Ex. 40 (YANGMING00261030). "The legal definition of a BCO is the 'importer of record, who physically takes possession of cargo at destination, and does NOT act as a third party in the movement of such goods.' Another definition of BCO is 'the party that ultimately owns the product being shipped'." *What are beneficial cargo owners and why should we care?*, Supply Chain Mgmt. Rev. (Jan. 3, 2023), available at https://www.scmr.com/article/what_are_beneficial_cargo_owners_and_why_should_we_care.

MQCs—yet it continued to finalize and execute contracts anyway. Indeed, in another case involving substantially identical claims against Yang Ming currently pending before the FMC, Dan Vidal, Yang Ming’s Sales Director for the Northeast Region, testified that he had concerns about Yang Ming not being able to satisfy the service commitments it was making leading up to the 2021 Shipping Year and that he discussed his concerns that there was “*no way we were going to be able to meet these MQCs*” with his team *and with headquarters*.

38. Discovery in this case suggests that Yang Ming therefore did not negotiate its service contracts for the 2021 Shipping Year, including Complainant’s 2021 Service Contract, in good faith, but rather with the intent to induce Complainant and other of Yang Ming’s customers, under false pretenses, to rely on Yang Ming to provide an agreed amount of fixed-price carriage that was critical to those customers’ businesses.

39. Yang Ming’s practice of seeking to enter into service contracts for 100% or more of its expected capacity during the 2021 Shipping Year, without reserving space for known, much less unforeseen, issues affecting the supply chain, was unreasonable.

40. This practice was unreasonable in that it virtually guaranteed that Yang Ming would fail to meet its service commitments, especially in light of *known, existing, and ongoing* industry issues caused by the COVID-19 pandemic.

41. Yang Ming employees repeatedly warned headquarters that they would not be able to satisfy the contracts Yang Ming was offering and agreeing to. As early as February 2021, Yang Ming employees were already sharing reports analyzing that “the growing consensus is that container chaos will last through at least mid-2021” and “[w]hen it will ease remains a mystery.”³¹

³¹ Ex. 11 (YM_00013570); Cobb Dep. Tr. 89:14-19 (“Q. So, in other words, it was not likely for these issues to be completely solved? A. Not in the near term. No. No, Sir. Q. And, in fact, it was not solved until much later, if at all? A. That's correct.”)

42. On March 31, 2021, Yang Ming employee Dan Vidal responded to “the current ACs who we still haven’t received their S/C renewal request” sent by Sandy Hsu, a manager based in Yang Ming’s headquarters: **“I do have one question? If we are reducing MQC on some of the offers we have made to VIP key BCO’s I would not think we are interested in signing the below accounts, should we?”**³²

43. On April 23, 2021, Michael Wu admitted to Yang Ming’s origin offices: “current allocation is not covering signed MQC fully so we expect fine-tune will be needed.”³³

44. On April 28, 2021, Michael Wu shared a space prospect update with fellow Yang Ming employees, saying: “current vessel delay/natural VMS/ space fluctuation & reduction is not within normal scope of estimated capacity. ***If we are to consider these non-controllable factors when deciding overall MQC, the MQC would probably be half of currently signed MQC.*** Therefore, for now, our weekly allocation will not likely be calculated as simply as by dividing MQC by 52 weeks if terminal congestion/vessel delay is not completely solved.”³⁴

45. Also in April 2021, Yang Ming (America) Corp. Vice President of Sales Greg Krueger internally shared an analysis showing that Yang Ming was ***only accommodating 55% of the BCO volume that had already been signed for the then-upcoming 2021 Shipping Year***—almost guaranteeing that Yang Ming could not satisfy its service commitments without some drastic change. In his email, Krueger said, “We do understand all the circumstances surrounding the [blank sailings], port congestion and lack of equipment. That being said, there are several key accounts we must get your support in coordinating adequate space.” Krueger went on to say, “We need to do a better job of securing space for YML BCO’s. ***We understand the need to maximize***

³² Ex. 39 (YM_01105410) (emphasis original).

³³ YM_00056134 (emphasis added).

³⁴ Ex.19 (YM_01769468) (emphasis added).

revenue, but if we cannot do a better job the upcoming year is going to be a nightmare for us here.” Dan Vidal told headquarters his opinion that “there was ***no way*** we were going to be able to meet these MQCs.”

46. Shortly before the 2021 Shipping Year began, James Defilippis, Yang Ming’s Regional Sales Manager for its Northeast Region, wrote to Sandy Hsu at Yang Ming headquarters: “I am seeing so many accounts having space issues already and being rejected... We are not near our signing goal and already having issues so I am not sure where those numbers came from.”

47. Only a week into the 2021 Shipping Year, Yang Ming Senior Account Executive Joel Yero pleaded internally with Sandy Hsu not to sign an additional service contract for that year because he anticipated that “we will not provide space right f[ro]m the beginning ***like we are doing with the other accounts*** we are doomed to fail and I do not want my reputation tarnished on account of things I have no control over. ***This is an absolute disaster right now . . .***”

48. On May 7, 2021, Sandy Hsu admitted that “this situation will keep lasting and won’t be solved in short period, since the uncontrollable operational restriction such as congestion/blank sailing/vessel delay/equipment shortage are still there” and “we have to honestly tell [them] that it would be difficult to get space for the prorated MQC volume.”³⁵ To this, Joel Yero emphasized, “[C]ustomers do not want to hear excuses they want to hear what we are going to resolves [*sic*] the issues you just mentioned. ***Why sign contracts this year and have a KPI assigned if we will not be able to meet? . . . Every carrier is in the same situation as we are, but some are handling much better than we are.***”³⁶

³⁵ YM_00814513.

³⁶ YM_00814513 (emphasis added).

49. That same day, Hsu similarly admitted to James Defilippis that “*frankly speaking, [] the total MQC we sign this year is already more space than we can provide.*”

50. In an email with Yang Ming BCO customer Bed, Bath, & Beyond (“BBBY”), Yang Ming employee Vidal admitted that: “I spoke to Taipei again and simply put we have grossly overestimated our vessels allocations.” Later that day, Vidal again conceded that the reduced allocation was Yang Ming’s fault: “[t]o be totally transparent, we unfortunately *miscalculated our vessel allocation and over committed to all of our current contract holders.*” However, although this would ultimately prove true with respect to Yang Ming’s treatment of its contracted *BCO* customers, its more profitable *NVOCC* customers received significant preferential treatment during that same time period.

51. Other internal documents confirm Yang Ming knew their MQCs were impossible. Yang Ming’s reduced allocation scheme was a major source of concern that was well-attested throughout and even before the start of the 2021 Shipping Year:

- On May 12, 2021, Yero reported: “I am getting multiple complaints on a daily basis. What are we going to do to satisfy our BCO account base ? They all took substantial increases this year with the expectation that we would at the very least provide some kind of allocation based on their MQC... I have no less than five account who are complaining stating we have not given 1 TEU so far.”³⁷ Sandy Hsu admitted that “we are unable to fully meet each customer’s demand under current circumstance.”³⁸
- On May 14, 2021, Yang Ming employees confirmed this was a calculated choice: “...seems very limited booking is released ... We had already pressed down the allocation, namely not matching their MQC and this is one of our target account.”³⁹
- On May 24, 2021, Dan Vidal asked: “*If we knew that we would be running into these situations, would it not be best to offer much less MQCs at the start of all negotiations?*”⁴⁰

³⁷ YM_00812395.

³⁸ YM_00812395.

³⁹ YM_00055311.

⁴⁰ YM_00805864 (emphasis added).

- In early 2022, Hsu again confirmed that Yang Ming had overallocated contracted space and was not able to fulfill its commitments: “During the past one year, we overcommitted the MQC and this turns out that it is impossible to fulfill and also brings us many problems.”

52. Over the course of the 2021 Shipping Year, Yang Ming employees continued to blame their headquarters’ greed for Yang Ming’s inability to provide cargo space to its customers. Joel Yero stated, “*we can not accommodate the incumbent BCO’s and targets I was able to sign. Had I known from the beginning that we would not be able to handle the volume I would have never pursued. This has not only made me look bad but also YM as a company.*”

53. A more detailed worksheet of actual versus budgeted volume showed that Krueger’s 55% prediction, discussed in paragraph 45 above, was optimistic—Yang Ming’s *actual* compliance with MQC commitments overall was approximately **48%**.

54. Compounding the greed from its headquarters, Yang Ming openly claimed to its customers—*after* it had entered into service contracts with them—that it had not correctly calculated its available vessel capacity for the 2021 Shipping Year. This combination led Complainant, and, upon information and belief, Yang Ming’s other BCO service contract customers, to seek alternative freight arrangements for cargo that could and should have been carried by Yang Ming pursuant to its service contracts.

Yang Ming ultimately failed to satisfy its service commitments to Complainant in the 2021 Shipping Year.

55. Discovery in this action has confirmed that Yang Ming’s service commitment failures were widespread and systematic during the 2021 Shipping Year, affecting Complainant and all other BCOs with service contracts.

56. Crucially, as outlined below, these massive shortfalls to BCOs were accompanied by overperformance for Yang Ming’s NVOCC customers—a situation in which Yang Ming was

telling BCOs that there was no space but then selling the *same space*, through its preferred NVOCC customers, to BCOs at much higher prices.

57. Yang Ming's failure to meet its service commitment under the 2021 Service Contract with Complainant began immediately after the 2021 Service Contract went into effect. Yang Ming provided Complainant with only approximately one-quarter of the bargained-for space; actual volume in the first week was 0 FEU out of a weekly FEU of 42 FEUs (0% compliance) and actual volume in the first month was 6.923 FEUs out of a monthly MQC of 168 FEUs (4.12% compliance).⁴¹

58. In an email dated May 7, 2021, Yang Ming employee Jim Nickels noted to Complainant's employees:

Most of our customers are advising of their backlogs in origin ports, with more large orders coming. Barring any quick and large drop in imports, this situation is going to last for some time. We are competing with other trade lanes for equipment and feeder space as, Intra Asia is booming, along with Asia-Europe, thereby tightening the supply.⁴²

Five days later, Yang Ming employee Jim Nickels also confirmed the situation:

Yes, we are aware of the lack of bookings and have discussed with our HQ, who is again informing all origin offices of the importance in accepting the bookings, at least as much as possible. I am sorry for the lack of communication from some of our origins and we will work to insure [sic] that it is corrected quickly.⁴³

59. Yang Ming substantially constrained the space it made available to Complainant and Complainant made clear its frustrations with Yang Ming failing to provide contracted space. For example, in an email dated May 12, 2021, Expeditors International of Washington, Inc.

⁴¹ DCFMC-0004159.

⁴² DGFMC-0003505.

⁴³ DGFMC-0003518.

(“Expeditors”) (Complainant’s ocean freight booking logistics agent during the relevant time period) reached out to Yang Ming, saying:

Hello Chris and Jim – EI Shenzhen following your booking guideline – provide 2 weeks forecast on 5/6 for space accommodation on vessel ETD 5/15 to 5/21. Unfortunately, no response even [when] we repeatedly chasing for feedback. We also tried to ***book on target sailing but all rejected***. May I have your coach? How can we secure the committed space for Dollar General shipments? We got nothing under new s/c and YML confirm no contract issue but no response of our booking request so far.⁴⁴

60. On the same day, Expeditors related to Yang Ming another experience of severe hardship, stating: “...following your booking guideline – provide 2 weeks forecast ... ***Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected...*** How can we secure the committed space for Dollar General shipments?”⁴⁵

61. On May 13, 2021, Expeditors again reached out to Yang Ming, saying: “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming under new s/c 456121. We sincerely request Yang Ming release SO asap which will help to clear huge backlog sit in factory and CFS warehouse.”⁴⁶

62. Complainant immediately raised its concerns with Yang Ming regarding Yang Ming’s failure to provide cargo space as agreed. During the term of the 2021 Service Contract, representatives of Complainant and Yang Ming met repeatedly regarding Yang Ming’s inadequate cargo space allocations to Complainant and the obstacles that Yang Ming was creating to Complainant receiving its cargo space, for which Yang Ming’s representatives offered shifting explanations, initially claiming unavailability of space due to congestion and blank sailings, but

⁴⁴ DGFMC-0003518.

⁴⁵ Ex. 23 (YM_01796679) (emphasis added).

⁴⁶ Ex. 45 (DGFMC-0003528).

later admitting that the lack of cargo space allocation was coming from Yang Ming's headquarters, and that although Yang Ming's U.S.-based representatives were also very frustrated with their leadership, their hands were tied

63. On May 13, 2021, less than two weeks into the contract, Yang Ming internally noted that they "are under heavy pressure from [Complainant] and, in fact, have been called to another meeting today with their VP of Transportation, for lack of our performance."⁴⁷

64. In late May 2021, Complainant demanded a high-level meeting with Yang Ming's Taiwan headquarters to discuss the current shortfall.⁴⁸ Complainant's primary issue during the meeting was a demand for more space because Yang Ming was not providing an adequate amount.⁴⁹

65. That meeting took place on May 24, 2021. In the meeting, Yang Ming presented a PowerPoint presentation titled "Dollar General Meeting 2021/5/24." Slide 8 of the PowerPoint presentation showed a table with origin confirmed bookings of 11 FEUs during weeks 19-22 and a note claiming that "[t]here isn't much booking til now" but that "*[t]he numbers will be improve*

⁴⁷ Ex. 24 (YM_00976652).

⁴⁸ Nickels Dep. Tr. 116:5-9 ("Q What led to this meeting to be scheduled? A Sanjay wanted to have a meeting with all of these people who -- to express his concern with liftings and to make sure that we knew how important it was to Dollar General."), 116:15-21 ("Q So Yang Ming U.S.-based sales rep team would organize a meeting like this when there is an issue to be addressed, correct? A If we were asked to organize a meeting by whomever, to organize a meeting with our Taiwan colleagues, we would try to do our best to do that, yes."); Cobb Dep. Tr. 146:13-23 ("Q. Okay. And what did you typically discuss in those meetings? A. It was at the beginning of the contract. This was May 21st. So starting in May with the space problems and the onboarding. So we talked about all that and the allocations. And then on this call, Sanjay wanted to talk to Taiwan to go through the issues they were having. Because they had a backlog of cargo they were trying to move, and they wanted to see how we could assist.").

⁴⁹ Ex. 6 (YM_00973062); Nickels Dep. Tr. 126:21-127:3 ("Q Do you remember what specific complaints that Dollar General raised about Yang Ming in this meeting? A Well, they wanted more space. And with COVID and a lot of issues happening in the foreign ports, they were looking to get as much space as possible. And I didn't feel like that they thought they were getting it."); Morris Dep. Tr. 60:14-16 ("Q. Did you find that their explanations were satisfactory? A. No.").

[sic] week by week from now on, for example, our Yantian office had started responding the booking request and I am sure you will start to receive the same from other China offices.”⁵⁰

66. This was a flat-out misrepresentation. Just days before, on May 13, 2021, Yang Ming employee Winston Yeh stated internally that he “expect[ed] this space shortage problem will continue and go through Q3 2021 or even longer” “[a]s vessel delay and blank sailing situation has not changed and improved much in May,” and “all our customers will be facing this space shortage problem continuously without any improvement for the coming months.” Yeh continued, “we also have to be upfront and let our customer know that we won’t have enough space can release to all our customers because there are still a large number of our vessels are still stuck and idle in US due to ongoing port congestion which already existed in most of US calling ports for quite a long time.”⁵¹

67. Slide 8 of the PowerPoint presentation also admitted that “...*there is overwhelming new contracts coming this year* so this actually take us more than usual years to settle and communicate with our origins.”⁵² In his deposition testimony in this case, Michael Wu explained that language in terms of Yang Ming’s overcommitment of MQC, while pointing the finger at his own sales team.⁵³

⁵⁰ Ex. 8 (YM_01788635) (emphasis added).

⁵¹ YM_02033774; see also Ex. 8; Wu Dep. Tr. 96:9-107:11.

⁵² Ex. 8 (YM_01788635) (emphasis added).

⁵³ Wu Dep. Tr. 105:8-106:19 (“Q. What’s your understanding of your sentence here, ‘overwhelming new contracts’? A. . . . Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let’s say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’”) (emphasis added)

68. On May 26, 2021, after the meeting with Yang Ming, Complainant emphasized in a follow-up email that *“[i]t is very critical for DG to get support from Yang Ming”*, stating:

*“Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo. We made a good faith agreement at a rate much higher than previous year contract with the anticipation that YML with respects [sic] it’s end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June.”*⁵⁴

69. Complainant also shared information about confirmed bookings in May and June 2021. Yang Ming’s confirmed bookings up to that point for May totaled a mere 13 FEUs, and June totaled only 2 FEUs, for a combined 15 FEUs against an “MQC of 2,226” and “MQC/52 [was] 43F per week”.⁵⁵

70. Complainant’s May 26 email further noted that “Contract states: Carrier commits to provide weekly space at a level not less than 130% of the Merchant forecasted FEU volume 4 weeks from scheduled shipment week” as “Key Points for YMLU”.⁵⁶ Yang Ming employees knew about this special provision when they communicated with Complainant.⁵⁷

⁵⁴ Ex. 6 (YM_00973062) (emphasis added); Nickels Dep. Tr. 118:12-21 (“Q What is your understanding of Sanjay's statement? A Well, it appears that he's saying that we're not meeting our obligations, and he's just making an effort to let us know that he respects -- he expects us to uphold our end of the commitment. That would be the way I would read that. Q Is there any reason to doubt Sanjay stated things accurately? A No. I would not think so, no.”).

⁵⁵ Ex. 6 (YM_00973062); Nickels Dep. Tr. 82:24-83:2 (“Q You say that, under Section 2.2, The carrier is obligated to provide vessel capacity adequate to carry the MQC. A To make every effort to do so, yes.”), 119:21-23 (“Q Do you have any reason to doubt the information provided in Sanjay’s email? A No.”); Cobb Dep. Tr. 152:4-9 (“Q. And then Sanjay provides some data on confirmed bookings below that. Correct? A. That’s correct. Q. Any reason to doubt the accuracy of these numbers? A. No.”).

⁵⁶ Ex. 6. (YM_00973062); Ex. 1. (DGFMC-0000001); Nickels Dep. Tr. 83:10-13 (“Q Is it fair to say that the carrier should provide weekly space at a level no less than 130 percent of the merchant's forecasted FEU volume? A Yes; in this phrase, that’s correct.”).

⁵⁷ Nickels Dep. Tr. 83:14-17 (“Q Were you aware of this provision when you were communicating with Dollar General employees? A Yes. I mean, I had read the contract before.”), 84:2-12 (“Q When did you or Chris Cobb reference these specific volume entitlements? A We were provided a volume forecast on a weekly basis by Expeditors. Q So are you saying you or Chris Cobb referenced these specific volume entitlements with Expeditors? A Yes. Q I was asking if you mentioned these specific volume entitlements with Yang Ming headquarter. A Yes.”); Cobb Dep. Tr. 96:6-18 (“Q. Was a provision like this common in the BCO service contracts that you worked with? A. No. It was not common.

71. Yang Ming's failure to meet its service commitments to Complainant continued throughout the 2021 Shipping Year.

72. In an email dated June 3, 2021, an employee of Complainant pointed out that Yang Ming was not providing its promised allocation level at even "a fraction of the contractual obligation."⁵⁸

73. June was a vital month for Complainant, and Yang Ming employee Nickels admitted: "We are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG."⁵⁹ Simultaneously, Expeditors reported that Yang Ming refused to reserve space based on claims that there was no valid contract rate for a specific route.⁶⁰

74. On June 15, 2021, Yang Ming employees internally flagged Complainant as one of "our TPEB customers that seem to complain the most" along with 18 other BCO customer accounts.⁶¹

75. On June 29, 2021, Yang Ming employee Mike Collins mentioned that the allocation situation for Complainant "*certainly doesn't look to be getting any better.*" Nickels replied, "*No, we are giving them zippo. We are giving my smaller accounts more.*"⁶²

76. In mid-July 2021, Complainant threatened to cut Yang Ming off from a contract for the following shipping year due to Yang Ming's cargo space shortfalls, which Yang Ming's U.S.

I have seen it before, but it's not normally in the terms and conditions. Q. So it's generally something -- you would be generally surprised to see a provision in a service contract like this? A. I would. Q. And it would be something unique to take into account in your servicing of a service contract with that BCO. Correct? A. Yes.").

⁵⁸ YM_00970426 (emphasis added).

⁵⁹ YM_00047867.

⁶⁰ YM_01819925 (emphasis added).

⁶¹ Ex. 32 (YM_02057515).

⁶² Ex. 12 (YM_00962578).

representatives said they would pass along to Yang Ming's headquarters. Yang Ming acknowledged internally that Complainant was "very upset with YM and cut the meeting short as 'a waste of time'. They advised that YM is by far, their worst performing carrier... They are done asking us to comply with the demands and will not be offering YM future SC opportunities"⁶³ and that Complainant "*would never invite us again if performance didn't drastically improve.*"⁶⁴ Complainant continued to push for space, but when representatives of Complainant and Yang Ming's leadership at headquarters communicated about Yang Ming's cargo space shortfalls, Yang Ming's leadership admitted they were not fulfilling the MQC and could not get their headquarters to authorize doing so.⁶⁵

77. On August 25, 2021, Complainant stated that "*you guys have cost me nearly \$8M this contract year already* by not fulfilling your run rate", and Yang Ming employee Nickels agreed, commenting: "*We punished them enough with the 8 million freight loss!*"⁶⁶

78. Yang Ming admitted that "[p]ort congestion during the COVID-19 pandemic caused significant delays in [Yang Ming]'s operations, creating backlogs as vessels missed port

⁶³ Ex. 9 (YM_01012333); Nickels Dep. Tr. 127:13-17 ("Q And what did you think about this statement? A Well, I was concerned, of course. They're my account. As a salesperson, you don't ever want your accounts to go away. We like long-term relationships. And that's what we try to foster.").

⁶⁴ Ex. 10. YM_00169787 (emphasis added); Nickels Dep. Tr. 170:16-171:2 ("Q I would like to revisit the statement that you made on top of this email thread. Yes, she said she would never invite us again if performance didn't drastically improve. This appears to have come to fruition based on the email Nickels and the fact Dollar General never re-signed again with Yang Ming, correct? MR. KEANE: Objection to form. THE WITNESS: I thought they had re-signed; perhaps they didn't. But, you know, that's -- I don't see that they did. You're correct.").

⁶⁵ Morris Dep. Tr. 60:17-61:11 ("Q. Did there come a time when you terminated those meetings, those weekly meetings? A. I wouldn't necessarily say terminated those meetings. I would say we continued to endeavor to get space. During that timeframe if you were a retailer, the amount of workload associated with getting one container moved was incredibly high. So we continued to try to engage Yang Ming from a space procurement standpoint. There was a meeting where it was indicated by the sales rep and his boss during that time where they said essentially said, our, I am paraphrasing based off of six years of memory, but we know that we are not, essentially it's we know that we are not fulfilling MQC and we can't get our headquarters to allow us to.").

⁶⁶ YM_00156607 (emphasis added).

calls and cargo had to wait for the next available vessel” and claimed that it was at fault for failing to provide space to Complainant.

79. Yang Ming’s underperformance grew even more severe in subsequent weeks. For example, Complainant requested a total of 329 FEUs over a seven-week period covered by Complainant’s forecasts (2021 calendar weeks 40 through 46), but Yang Ming delivered only 196—falling short by 133 FEUs ahead of the critical 2021 holiday season. In Week 48, Yang Ming delivered only 18 FEUs against a forecasted 78, resulting in a 60-FEU shortfall—failing to provide over three-quarters of the requested space. The following week, Yang Ming carried just 21 of the 89 forecasted FEUs, a staggering shortfall of *over 76%*. These failures are even more extraordinary given that under the 2021 Service Contract Yang Ming was explicitly required to provide weekly space at a level *not less than 130%* in instances where Complainant provided forecasts (as was the case here) four weeks from a scheduled shipping week.⁶⁷

80. Over the course of a 14-week forecasting period, in which Complainant provided Yang Ming shipping forecasts on a rolling basis during the period of August 25 to October 6, 2021, Yang Ming failed to meet Complainant’s forecasted volumes in 11 out of 14 weeks. The cumulative shortfall across these weeks amounted to no less than 414 FEUs—a massive and sustained breach of Yang Ming’s core service commitment under the 2021 Service Contract.

81. Yang Ming’s consistent failure to provide even a fraction of the cargo space to which Complainant was entitled, despite Complainant’s increasing efforts to procure Yang Ming’s compliance with its service commitments, eventually led Complainant to give up on seeking to book cargo with Yang Ming.⁶⁸

⁶⁷ Ex.1 (DGFMC-0000001).

⁶⁸ Cobb Dep. Tr. 108:23-109:3 (“Q. So would it be fair to say that for whatever reason, booking rejections were a

Yang Ming ultimately failed to satisfy its service commitments to its BCO customers in the 2021 Shipping Year.

82. Yang Ming's failures throughout the 2021 Service Contract year constituted a systematic practice of failing to fulfill its service commitments to Complainant and other BCO customers.

83. Discovery in this case has confirmed that Yang Ming failed to meet its service commitments under its service contracts with a large number of its BCO customers, including Complainant. These issues were widespread enough at Yang Ming that employees regularly expressed outrage at the problems: ***"The frustration being experienced by every single BCO is at an all time high. 1-2 FEUS being release in most cases is just not good enough. They signed contracts in good faith and expect a service to be provided."***

84. In an illustrative example, in an email dated May 12, 2021, only two weeks into the 2021 Shipping Year, Yang Ming employee Dan Vidal sent an internal email to other Yang Ming employees stating: "[BBBY] is a new target account we just signed this year and as you can see from the[] below we are rejecting the[ir] booking request."

85. In an email dated May 17, 2021, an employee of fellow Yang Ming BCO customer BBBY expressed his deep frustration with Yang Ming's poor performance, writing "if you

large scale problem for Yang Ming during the pandemic? A. It seemed to be a large scale problem for everyone. It really depended on where you were coming from."), 109:23-110:1("Q. Did you encounter situations where a BCO customer who had encountered consistent booking rejections gave up trying to book with Yang Ming? A. We did."); Krueger Dep. Tr. 76:15-22 ("Q. During the 2021 shipping year, did certain BCOs report issues with making bookings either directly or through their booking agents? MR. KEANE: To Yang Ming? MR. RUSHING: To Yang Ming. Thank you, Mr. Keane. A. Yes."); Ibrahim Dep. Tr. 68:13-21 ("A. Also what I learned is that during a specific time, we couldn't rely on Yang Ming for signing something and then not giving us the allocation. So we couldn't really use them because there was something that -- nobody was telling me exact reason until everything makes sense now as we're speaking because of the reliance, that we can rely on them."); Morris Dep. Tr. 61:14-62:4 ("A. And so when you're in a situation where it's taking you 5X the amount of times to book a single container, you have to put your energy into managing where you think you can get the space. And it was made very clear that the intention wasn't there. Again at least during that time period. So we allocated our time according to that. However, there was still report cards that were e-mailed out for a period of time, and of course of bookings themselves. We continued to try to make in accordance to the contract because we had so many containers that we had to move.").

annualize the below (9 FEU's/wk x 52 wks/yr) it equates to 468 FEU's/yr. *We just signed a contract w/ YM a couple of weeks ago for 1000 FEU's so at this point you're offering us less than half of what you promised?* If so that's totally unacceptable and not the way I think you'd like to start your first ever direct contract w/ BBB[Y]!"

86. In early June 2021, Yang Ming employee Joel Yero was forced to relay to Yang Ming headquarters yet another palpably tense exchange with a customer: "To put it lightly he is beyond upset at the way we have handled their contract so far. *This is yet another account complaining that we are not honoring their MQC by not providing any space . . .*."

87. By July 2021, several Yang Ming employees were asking for more support from Yang Ming headquarters. Yang Ming's internal documents confirm this experience as to the rest of Yang Ming's BCO customers. Yang Ming employee Nickels admitted that he was "*shocked*" by Yang Ming's behavior: "*I signed 12 accounts and still have 5 that have not lifted 1 teu since 5-1! ... I think they can forget about a new contract next year with many of them.*"⁶⁹ In an email dated July 14, 2021, Yang Ming employee James Defilippis sent an internal email to other Yang Ming employees confirming that "*no one has been receiving their allocation . . .*." Defilippis also informed another of Yang Ming's shipping customers, CVS, that:

"none of our accounts are receiving their contractual obligation to meet their MQC... [ellipsis in original] *actually not even close, most less than 10%*. There are many factors contributing to this. While they did a good job controlling MQCs... *the desire to expand the account base was a hindrance... [m]y feeling is that it was not the right year for this from our side but Taipei did wish to expand our base so we are struggling obviously.*"

88. In another email dated July 14, 2021, Yang Ming employee Krueger emphasized that "we really need [HQ's] support for some of our *BCO customers that are high maintenance*."

⁶⁹ Ex. 4 (YM_00170427) (emphasis added).

These accounts we are fearful that we will lose support in the coming year due to our inability to service the minimum requirements”, and although he “*understand[s] the need to maximize revenue and the direction HQ office is pushing*, but we also need to take a balanced approach to sustain us in the year(s) to come.”⁷⁰

89. Yang Ming also used shippers’ previous inability to book space, a situation that Yang Ming itself created, as a justification to deny *current* space with other accounts, as well. On January 12, 2022, Yang Ming employee Joel Yero described Yang Ming’s practice as “beyond mind boggling”, stating:

*“To tell an account we will not provide space because they have not booked with us in a while is very disturbing considering the current environment of the industry... They have on numerous occasions tried booking cargo with us only to be told we can not accept. For anyone to say you have not supported us and we [sic] your booking request is declined is an absolute insult to the account. If this is the position our load ports are going to take moving forward I fear we will not have any accounts willing to resign this upcoming year. I am really perplexed by our arrogance and hope that this is will not be the new norm.”*⁷¹

90. Yang Ming was also well aware of space complaints that had been consistently brought by customers since early in the pandemic.⁷² Indeed, during this time, Yang Ming experienced many disputes with its customers regarding its failures to fulfill MQC service commitments and customer complaints that they were not receiving enough space to meet their MQC under service contracts.

91. Internal Yang Ming emails during the 2021 Shipping Year revealed mounting pressure from Yang Ming’s BCO customers to address shortfalls:

- James Defilippis wrote regarding Yang Ming customer YMF Carpet Inc.: “we lifted 205 TEUs total, that means we gave them 17% of their contracted volume.” He further

⁷⁰ Ex. 33 (YM_00848949) (emphasis added).

⁷¹ YM_00611395 (emphasis added).

⁷² Chen Dep. Tr. 69:16-22.

confirmed that the fault was Yang Ming's when he added "I can send you the consistent rejections if you wish to see them".

- Dan Vidal wrote regarding Yang Ming customer Delta Enterprise "that they are not getting the weekly allocation from these origins on a consistent basis."
- Joel Yero stated regarding Yang Ming customer SG Footwear that "[t]hey are demanding that we provide the weekly 8FEUS as prorated per their contract and want to speak to our management team in Taipei next Wednesday June 16 to discuss their dissatisfaction with YM" and mentioned that he "was called 'useless'" by the customer's logistics team.
- Regarding six Yang Ming customers (PemAmerica, Kurt Adler, BabyBoom, Acme Plastics, Multipet, and National Public Seating), Yero noted that they were "all... complaining that we have not released any space to them..."
- Six weeks into a contract with another customer, Yero acknowledged "they have attempted to book 137FEUS with us out of Shanghai and we have not provided a single container."
- On April 26, 2021, Yang Ming BCO Customer No. 2 reached out to Jim Nickels, saying that "[w]e are receiving complaints from our origin booking agents that Yang Ming is not approving space." Yang Ming BCO Customer No. 2 was a customer who "signed early and provided a forecast for April and May." Yang Ming BCO Customer No. 2 had a booking from Ningbo, scheduled to depart on May 4, but Ningbo advised they had no allocation from Ningbo. On April 29, 2021, Chris Cobb wrote to Michael Wu, commenting that "[w]e need this account and booking accommodation the best we can" and we "need to be a [*sic*] close to MQC/52 as we can".⁷³
- On May 19, 2021, Yang Ming BCO Customer 3 continued "to call regarding their concerns for adequate space", saying: "***My biggest concern is that we are getting our fixed/direct allocation from other carrier partners but not Yang Ming.*** Even though it is not 100% I am at least getting a minimum of 90%. The phasing in has begun and in many cases where it was existing customer and routing it never stopped. Seeing that YML is a top carrier partner for us this is concerning. Looking forward to HQ update."⁷⁴
- On May 25, 2021, Yang Ming customer Yang Ming BCO Customer No. 4 reached out to Chris Cobb, saying: "I know Stephanie has been pushing really hard to get us space and said that trade would give us our 1 FEU per week and if possible more but at least 1 FEU. Since our new contract has started we have only received 1 TEU this week and it's the only SO to be released to us since the start."⁷⁵

⁷³ Ex. 21 (YM_00061394).

⁷⁴ YM_02033774 (emphasis added).

⁷⁵ Ex. 20 (YM_00121871).

- On May 25, 2021, Yang Ming Senior Pricing Manager Bill Ly complained about being forced to foist PSS upon his “small” customers given that “they have been pretty much shut out in terms of getting any space release[d]”.
- In early June 2021, after having already been denied space for two months, Yang Ming customer Crispo Canada stated plainly: “The fact is you are not giving us space because you are being greedy and putting money ahead of customer loyalty – Shame on you[] and Shame on Yang Ming – you have caused us serious damage.”
- Yang Ming sales representatives acknowledged internally that irreparable damage was being done to major client relationships. In a July 19, 2021 email, one Yang Ming employee shared a list of his seven customer accounts, with actual performance ranging from 0-12%. He pleaded with management for intervention, stating:

“What can I do to get some space for my accounts? I’m worried that we will never be able to resign these customers again. *[Yang Ming BCO Customer No. 1] has 1% of their MQC according to our report today. Doing my best but it appears I’m getting the least space for my customers of any of us...The ones that are here and we control are getting almost nothing.* Can we have a call with TPE to try and get more for my accounts?”⁷⁶

- On September 16, 2021, Yang Ming’s James DeFilippis reported that he was having a meeting with Conair, “one of our long-standing good customers”, while having “no idea at this point what we are going to tell them.” He said:

“I know we have had discussions here with our management for more than a month and the talk has been that more space was going to be given to BCOs but *I know many of the regions (based on yesterdays call) have not seen any improvement so that just seems to be talk at this point with no real substance that it is happening.*”⁷⁷

- In December 2021, Yang Ming responded to customer Yang Ming BCO Customer No. 5 team’s question about the possibility of keeping current MQC that: “[o]ur HQ has a goal of MQC deduction from all customers. This is due, in part, to the *many blank sailings and inability to serve accounts properly.*”⁷⁸
- On January 18, 2022, Brian Chen, Yang Ming’s manager for Eastbound Marketing & Pricing Team B for the Commercial Transpacific Department, instructed Yang Ming employees to “remove BSA cut for month May~Jul [*sic*], since our lifting is not line with space reduction, which is not benefit for us to defense” and there is “no need to show Allocation, since our lifting/allocation is not in line with BSA cut, and will make us difficult to explain” from the “[Yang Ming BCO Customer No. 6] x Yang Ming 20220121

⁷⁶ YM_01011665 (emphasis added).

⁷⁷ YM_00896075 (emphasis added).

⁷⁸ Ex. 5 (YM_00177727) (emphasis added).

v3” PowerPoint presentation, which was prepared “to update current booking situation for [Yang Ming BCO Customer No. 6]” in a conference call between Yang Ming customer Yang Ming BCO Customer No. 6 and Yang Ming headquarters.⁷⁹

These emails, among others, demonstrate Yang Ming’s broad, systematic failure to meet its service commitments to its BCO customers in favor of higher-priced freight.

92. Eventually, many of Yang Ming’s BCO customers simply gave up trying to get cargo space from Yang Ming, and Yang Ming was consequently “*not seeing bookings up to allocation levels*”. As noted with respect to other customers such as Yang Ming BCO Customer No. 2, customers “*believe some of this is YM has rejected bookings over last 18 months and forwarder has gotten in the habit of not bothering even book with [Yang Ming]*.”⁸⁰ Ultimately, even while Complainant was still “asking for their effective space based on current years contract,” Yang Ming was already focused on “reducing MQC’s” for the next contract cycle.⁸¹

93. These systemic issues are further demonstrated by a number of Yang Ming’s contemporaneous internal analyses.

94. On October 28, 2021, Yang Ming employees shared a PowerPoint presentation named “TPEB USA S/C LIFTING ANALYSIS.” According to the presentation, “USA signed customer account for 39% of the total signed volume” and “US contracts should be running at 39%, yet we are only at 32% of the effective space allocation,” making them “short [of] 1,100 TEU per week given this calculation.” They came up with three requests: (i) “Any account at or under 50% of effective space allocation” should be accommodated more, (ii) “a list of customers

⁷⁹ Ex. 61 (YM_00606136).

⁸⁰ Ex. 2 (YM_00241056).

⁸¹ Ex. 34 (YM_00692570).

which are behind and complaining about space” should be prioritized, and (iii) “HQ to help USA to coordinate with load ports” and to “push” more.⁸²

95. In November 2021, halfway through the shipping year, Yang Ming created a review of the “effective space allocation” given to U.S. customers. In the words of Greg Krueger, Vice President of Sales at Yang Ming (America) Corp., “[i]t is a random sampling of the effective space allocation vs. actual space given. *We are generally week over week short by 1000 TEU...* still need HQ to be aware of our struggles dealing with BCO customers on this side.” Even worse, that shortfall figure *already included* “allowances [] for [blank sailings] and skipped ports . . .”

96. As 2022 began, other Yang Ming internal lifting reports further showed the depth of its failure.

97. At the beginning of 2022 (about 2/3 of the way through the 2021 Shipping Year), Yang Ming internally created a report showing for 25 BCO customers: (1) their MQC, (2) a “target performance” goal for the point at which the chart was created, and (3) Yang Ming’s actual performance. Only five of the listed customers had been provided with more than 20% of their MQCs, with the rest of the chart reflecting Yang Ming’s similarly dismal performance for its other BCO customers.

98. On January 3, 2022, Chen noted that “BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority” (i.e., the Commission), and asked other Yang Ming employees to “assist monitor space complaints or issues in your region.”⁸³

⁸² Ex. 37 (YM_01040241).

⁸³ Ex. 53 (YM_00617077); Chen Dep. Tr. 68:10-17 (“Q. So when you said “regulatory authority” here, did that include the Federal Maritime Commission? A. Federal Maritime Commission is one of the regulatory authorities. Besides Federal Marine Commission, in other countries, they are also similar regulators who are paying attention to this matter.”).

99. Attached to that communication was a spreadsheet with a list of customers that were receiving approximately 50% of their allocation or less. That document reflected that Complainant at that time was only receiving 46% of its *allotted* space.

100. On January 11, 2022, Chen shared a “21-22 SC LIFTING REPORT UP TO DATE (01102022)” with other Yang Ming employees, noting that Yang Ming had only achieved actual performance of 22% for Complainant compared to its own internal target performance of 67%. Yang Ming’s overall actual performance rate for comparable customer accounts was 29%.⁸⁴ In this communication, Chen also acknowledged customers with potential legal risk. His proposed solution was “increas[ing] cargo volume...to avoid complaints.”⁸⁵

101. An attached spreadsheet, the source of the inset table in the email, also shows that the United States market as a whole was receiving only 41% of its allocated space, and that no individual U.S. region was receiving more than 55%, with half below 30%.⁸⁶

102. On January 25, 2022, Brian Chen asked Sandy Hsu to develop Yang Ming’s MQC targets for shipping year 2022.⁸⁷ His email includes a worksheet detailing actual versus target performance in 2021, with the first tab showing that Yang Ming mostly met or surpassed overall internal *profit-driven* performance goals (e.g., total MQC signed, total number of customer accounts signed).⁸⁸ The other tabs show Yang Ming’s actual *service* performance against MQCs

⁸⁴ Ex. 55 (YM_00611914).

⁸⁵ Ex. 55 (YM_00611914); Chen Dep. Tr. 75:13-25 (“Q. Mr. Chen, could you please read this, just in the language in which it’s written? A. Yes. Q. Please. Read it aloud, I mean. A. “[Chinese spoken.]” A. Gentle reminder. For contracts with less than four months to the expiration, please fully utilize the time before the expiration of the contract. For the customers with legal -- with potential legal risk regarding the cargo volume, please try to increase the cargo volume to prevent customers’ complaints.”).

⁸⁶ Ex. 56 (YM_00611919).

⁸⁷ Ex. 41 (YM_00601422).

⁸⁸ Ex. 42 (YM_00601425).

for its 3 North American regions (NAT, MAT and SAT, where Complainant is based), consisting almost entirely of BCO customers. It shows extraordinarily poor performance, *as out of the 119 accounts, only 5, or just 4%, even met Yang Ming's 50% performance target*, with most substantially below that, hovering around *13% to 17% of MQC*.⁸⁹ Given how well Yang Ming's wholesale failure to comply with BCO MQCs had worked for Yang Ming in the 2021 Shipping Year, Brian Chen instructed Sandy Hsu to cut MQCs 25% for the upcoming year.

103. Perhaps the most astonishing aspect of this worksheet from Brian Chen is that it indicates that *Yang Ming had never intended to give any BCO more than 50% of the MQC that it had agreed to*. Underscoring that Yang Ming's sales force understood and embraced his instructions in early 2021, sales personnel had more than delivered by cutting MQC compliance by more than half again, with averages in the regions coming in at the 13% to 17% range. The SAT region tab shows Complainant at only 13% fulfillment and Yang Ming NVOCC Customer No. 1 (an NVOCC customer) as the only account that met its (reduced) performance target. This email and worksheet demonstrate that Yang Ming was giving priority during the 2021 Shipping Year to short-term, higher-priced freight at the expense of its BCO customers.⁹⁰

104. By March 15, 2022, Yang Ming internal reports confirmed Complainant was among the *"Top 25 BCO with lifting behind MQC"*. Chen confirmed that he only sent this report internally to Yang Ming employees, rather than Complainant employees, because he felt that Yang Ming, not Complainant, was the one that needed to find the source of the shortfall issue.⁹¹ Despite

⁸⁹ The average MQC performance was 13%, 17%, and 16% for the North American NAT, MAT and SAT regions, respectively.

⁹⁰ Ex. 42 (YM_00601425); Hsu Dep. Tr. 93:24-105:2.

⁹¹ Ex. 57 (YM_00645239); Chen Depo Tr. 83:17-84:10 ("Q. So does this email identify Dollar General as one of the 25 BCOs who were significantly behind on their MQC? A. Regarding the MQC for this customer, Dollar General, in the contract, during this period, the progress of their MQC was behind. Q. Is this email to anybody at Dollar General? A. For this email, we asked colleagues at the loading port to contact the booking agents, to find out what was the real

these issues, Michael Wu concluded on March 22 that Yang Ming would “stop quoting to new inquiry from now on” because they could not even meet existing MQCs.⁹²

105. Yang Ming’s failure to provide contracted space was concentrated on, and disproportionately impacted, the specific port pairs covered by Complainant’s 2021 Service Contract. As reflected in the communications above, the shortfalls that Complainant experienced were most acute on the Shenzhen (SZX) to Los Angeles/Long Beach route: Expeditors reported on May 13, 2021 that “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming.”⁹³

106. The Shanghai (SHA) to Los Angeles/Long Beach and U.S. West Coast (USWC) route was similarly affected, with Expeditors reporting that Yang Ming’s Shanghai office had “never ever secure[d] any space to LA”⁹⁴ in the weeks after the 2021 Service Contract became effective. The Ningbo (NGB) to Los Angeles/Long Beach route was likewise identified by Complainant as a critical lane with persistent shortfalls.⁹⁵

107. Upon information and belief, these specific port-pair failures were not the result of capacity constraints at those ports generally, but instead reflected Yang Ming’s deliberate policy of diverting available space away from fixed-rate BCO contract customers like Complainant—on these specific trade lanes—to higher-paying spot market shippers and NVOCCs willing to pay premium rates. Yang Ming’s own internal communications confirm that its South Atlantic

reasons for these 25 BCOs with MQC progress that were behind. After we learned of the real reasons, then we can make the improvements. The real reasons could be the case that it was an issue with the customer, or issues with the space. So this email was not addressed to Dollar General. We were just asking our loading colleagues to perform the investigation for us.”).

⁹² YM_00205713.

⁹³ Ex. 45 (DGFMC-0003528).

⁹⁴ Ex. 27 (DGFMC-0003682).

⁹⁵ YM_00970426.

management singled out the Los Angeles/Long Beach routing specifically when imposing a retaliatory booking restriction on Complainant in March 2022.⁹⁶

108. Yang Ming was aware of the port and rail congestion issues that all BCO customers, including Complainant, faced during the 2021 Shipping Year. An internal Yang Ming presentation dated December 17, 2021 noted that “[d]ue to all USWC terminals are congested, appointments are difficult to get, vendors were picking up less containers.”

109. In November 2021, Brian Chen was aware of “tight space” causing “space complaints” as well as “accounts with serious lifting behind MQC” when he sent an email with the subject “Space Shortage”.⁹⁷ Chen’s email shows that Yang Ming was perfectly capable of remedying those shortfalls, but would only do so in order to keep customers from rebelling: “[a]s part of the solution, we may consider to increase space accommodation if necessary to avoid impacting future cooperation.”⁹⁸

110. At the very same time that these systematic space shortages were cresting, Chen was suggesting MQCs for *NVOCCs* of approximately 30,000 TEUs spread over two carriers.⁹⁹

In addition to failing to provide cargo space allocations to meet or approach its service commitments, Yang Ming also regularly rejected BCO customers’ bookings.

111. Under Yang Ming’s allocation scheme, booking rejections were common, with Yang Ming employees frequently placing responsibility firmly on Yang Ming.

⁹⁶ Ex. 63 (YM_01680094).

⁹⁷ Ex. 52 (YM_01895958); Chen Dep. Tr. 63:12-20 (“Q. Okay. So the subject line of this email says “Space Shortage.” And the first line says “Due to tight space this year.” So this is an email you wrote. Is it fair to say that space was tight at this point, and that there was not enough space? A. During that time period, in 2021, the overall space -- spaces were tight, due to the impact of Covid-19.”).

⁹⁸ Ex. 52 (YM_01895958).

⁹⁹ Ex. 59 (YM_01907501).

112. Throughout the term of the 2021 Service Contract, Complainant made extraordinary efforts to book cargo space with Yang Ming in accordance with their 2021 Service Contract.¹⁰⁰ However, the situation did not improve. Securing space for even a single container was an extremely difficult challenge with all of Complainant's contracted carrier partners during that year, especially including Yang Ming.¹⁰¹

113. For example, in an email dated May 26, 2021, Expeditors stated: "We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking. I will not place another booking with YMLU until you have assured me that these issues have been resolved."¹⁰² On the same day, Expeditors employee Timothy Chiu reached out to Yang Ming employees asking for help:

"YML SHA told us we have 12T allocation to LA....*SHA team never ever secure any space to LA after new s/c effective from 1st of May. We had ever secure 1 to 2F to USEC so far.* Could you please coach team how to get the allocated space to USWC?"¹⁰³

¹⁰⁰ Ibrahim Dep. Tr. 78:4-14 ("Q. Mr. Ibrahim, to your knowledge, did Dollar General do all that it could to book space with Yang Ming pursuant to its 2021 service contract? A. To my knowledge, yes. MR. KEANE: Objection. No foundation. Q. To your knowledge, did Dollar General do so with other carriers as well? MR. KEANE: Same objection. A. Correct.").

¹⁰¹ Morris Dep. Tr. 64:16-23 ("Q. You did say that it was incredibly difficult to get even one container of space during that year. When you said that, I assume you were referring to across the board all your contract carriers partners; is that right? A. Yes. Let me restate that. On average, yes."), 102:4-103:5 ("A. Yeah, I think I believe what I said was that that was one example of the types of barriers that carriers would throw up during those times. There were lot of different barriers. I think I talked about just the booking barriers. Again not responding to e-mail requests for bookings, basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs. There were lots of many, those are three of many different strategies that I saw utilized. Whether, I can't, I can't engage in conjecture as to whether it was intentional or unintentional but I can draw my own conclusion. But I would say Yang Ming certainly had utilized those particular tactics although I can't tie one tactic over another specifically to Yang Ming specifically for that time period. But I think the biggest piece in my mind was the conversation we had with Jim where he said, again, paraphrasing headquarters basically you're not going to get your MQC and we can't get headquarters to agree.").

¹⁰² YM_00121562 (emphasis added).

¹⁰³ Ex. 27 (DGFMC-0003682) (emphasis added).

114. On June 3, 2021, Complainant again pointed out that Yang Ming was not providing its promised allocation level:

*“While we are happy to get more than 10F in a month, 16F per week is still only 1/3 of what we should be getting MQC/52. Again, we are open to a discussion on rates. I would first ask that we concentrate on covering your awarded lanes. Beyond that, our need is primarily out of top three base ports (SZX/NGB/SHA) to LA or GIC for future weeks. My greatest need right now is out of SZX, where I have a current backlog of 1400 containers. If you all can provide a rate level at which we can purchase space up and above the 40F per week, we are happy to have that conversation. In the meantime, we do need MQC/52 honored, which is a fraction of the contractual obligation.”*¹⁰⁴

115. Yang Ming never provided space allocation reports that identified alternative availability; instead, despite Complainant repeatedly offering flexibility to move cargo between different ports of origin and vessels to avoid booking issues, Yang Ming did not offer opportunities to navigate those space constraints.¹⁰⁵

116. Complainant experienced a myriad of restrictive booking practices by Yang Ming.¹⁰⁶ One such tactic was the summary rejection of bookings due to unavailable container sizes.¹⁰⁷ If Complainant requested its full allocation (e.g., 10 FEUs) but the carrier’s system only

¹⁰⁴ YM_00970426 (emphasis added).

¹⁰⁵ Morris Dep. Tr. 88:2-19 (“Q. did Yang Ming send you back allocations of space that they would have available to you which might not meet your weekly allocation or your forecast? A. Not that I recall. We didn’t ask for that from all carriers one. Of the things especially early on as carriers were increasing the level on complexity with booking, we tried to navigate around some of those barriers by asking for if you don’t have space on this vessel but you do have space on this vessel, we’ll be flexible. Help us understand where those opportunities exist. I don’t recall Yang Ming ever helping us to navigate that by sending us anything, to the best of my memory.”).

¹⁰⁶ Morris Dep. Tr. 110:23-111:3 (“Q. Do you know, thank you for that, it was clear. Do you know if Yang Ming specifically, not the carriers in general, engaged in that practice? A. Again I go back to Yang Ming for sure engaged in a myriad of these tactics.”).

¹⁰⁷ Morris Dep. Tr. 104:10-24 (“Q. The complaint also complains about Yang Ming summarily rejecting bookings for unavailable container sizes instead of offering to provide alternative container sizes. Do you recall anything concerning that allegation? A. Yes, that was certainly, you know, I listed probably five or six of the tactics. That was also a tactic that was used during that time. Q. Is -- A. In this moment I can’t recall specific examples, but that was a tactic we knew that Yang Ming did engage in some of those tactics.”).

had space for a smaller amount (e.g., 8 FEUs), Yang Ming would automatically reject the entire booking rather than accepting the available portion.¹⁰⁸

117. These declined bookings were a result of Yang Ming's own policies.

118. For example, as set forth above, Yang Ming took the risky move of overcommitting all of its anticipated cargo allocation for the next year into service contracts, which did not leave buffer room for delays or kinks in the supply chain throughout the 2021 Shipping Year. As alleged below, Yang Ming's booking rejections to BCOs were also meant to make way to sell more space to NVOCCs at higher rates than the lower fixed rates that BCO shippers had in their service contracts.

119. Yang Ming engaged in several unjust and unreasonable practices to reject bookings and thereby deprive Complainant, and, upon information and belief, other BCO shippers, of contracted cargo space, including:

- a. summarily rejecting bookings for unavailable container sizes instead of offering or providing alternative container sizes;
- b. rejecting, without explanation, bookings that exceeded whatever allocation Yang Ming had arbitrarily set in its internal systems—regardless of whether that allocation was consistent with the applicable MQC or guaranteed space level—in

¹⁰⁸ Morris Dep. Tr. 109:21-110:21 (“Q. Okay. Can you tell me what that complaint, what facts you have to support that complaint? A. This goes back to the anecdotal examples that we had of carriers putting up barriers. So one way that carriers during that time would throw up barriers is let's say we have an allocation of 10 containers on that lane for the week. We would go on that string or that week. We would go and try to make a booking. If the carrier did not fulfill and also didn't tell us that they are fulfilling, they are not fulfilling the full amount, let's say the carrier would put eight into their system. If we requested 10, we would get automatically rejected instead of saying hey we'll take the eight and then you're going to have to figure out what you're going to do for the remaining two. So a lot of the booking, either again, noncommunication or rejections the explanation for such was well you didn't book what we had allocated within the system or you overbooked.”).

their entirety, instead of only to the extent that such bookings exceeded such arbitrary allocation, MQC, or guaranteed space level;

- c. requiring Complainant to email Yang Ming for bookings and then simply failing to respond to Complainant's booking emails, leaving the requests in pending status without any confirmation or rejection; and
- d. implementing ad hoc, arbitrary booking windows without providing information to Complainant or, upon information and belief, other BCO customers.

Yang Ming's policies and procedures also favored higher priced freight, compounding its over-commitment to its customers and explaining its vast shortfalls to BCOs.

120. Yang Ming clearly had the ability to perform its obligations under the 2021 Service Contract. Yang Ming is one of the world's largest international container transportation and logistics companies. During the relevant time period, Yang Ming was also a member of the second-largest global shipping alliance with other major container shipping companies. Yang Ming's cargo capacity was plainly large enough to accommodate the MQC set forth in the 2021 Service Contract. Notably, Complainant's 2021 Service Contract with Yang Ming specifically stated that "no general rate, bunker related surcharges, or peak season surcharge OR OTHER increase shall apply to the shipments tendered by the Merchant during the term of this contract."¹⁰⁹

121. Upon information and belief, and as shown by Yang Ming's revenues and profitability despite failing to ship 73% of the freight that was supposed to be committed to Complainant, Yang Ming's shortfalls on its service commitments to Complainant and other BCO shippers with service contracts were the result of Yang Ming violating its service commitments and offering bargained-for space to other shippers who were willing to pay higher freight prices.

¹⁰⁹ Ex.1 (DGFMC-0000001), Section 6.1 on page 4 of the 2021 Service Contract.

Yang Ming achieved this by requesting customers to pay PSS between 2020 and 2022 as port congestion issues escalated¹¹⁰; these PSS charges during the pandemic differed from pre-pandemic levels by being both significantly higher in amount and longer in duration.¹¹¹

122. As alleged herein, Yang Ming’s failure to provide contracted space to Complainant was part of a practice by Yang Ming of preferring higher-priced freight, and Yang Ming’s internal documents establish that during the period at issue in this action, Yang Ming favored NVOCCs on short-term spot market-based rates and BCOs on premium price service contracts while falling short on its non-premium fixed-price BCO service contracts. Complainant was systematically sidelined as Yang Ming transitioned to a strategy that used PSS as a primary driver for both space allocation and revenue.¹¹² Yang Ming’s internal emails confirm its mindset that fixed-rate (NAC) contracts were the “*last priority in the market*,” while customers were expected to book with “premium rates first.”¹¹³

123. As alleged herein, Yang Ming’s actions were designed to, and did, enrich Yang Ming by allowing Yang Ming to obtain wildly inflated spot market prices instead of the agreed (and still profitable to Yang Ming) rates that Yang Ming had already committed to providing under the 2021 Service Contract with Complainant and service contracts with other BCO shippers.¹¹⁴

¹¹⁰ Cobb Dep. Tr. 191:7-11 (“Q. Mr. Cobb, during the period of 2020 through 2022, do you recall Yang Ming asking customers to pay PSS, as congestion issues arose at ports during the pandemic? A. I do.”).

¹¹¹ Cobb Dep. Tr. 191:12-15 (“Q. And how did this PSS differ from the PSS prior to the pandemic, if at all? A. The amount was higher. And the duration was longer.”).

¹¹² Krueger Dep. Tr. 90:1-9 (“Q. Okay. So then my question to you is, would it have been appropriate in the 2021 shipping year for Yang Ming to profit off of PSS? A. We always profited off PSS. Q. Okay. Including during the pandemic? A. Before, after, during, now, sure. It’s -- sure.”).

¹¹³ YM_02033774 (emphasis added).

¹¹⁴ Ex. 58 (YM_02039881) (emphasis added).

124. Yang Ming ultimately allocated less than 30% of its total capacity to its BCO customers while allocating approximately 70% to its NVOCC customers. This disparity was fueled by an internal classification system. In May 2021, Yang Ming classified accounts into different types. Accounts that accepted PSS were classified into Type 2 categories, where they could begin service contract amendments to secure their position.¹¹⁵ In contrast, Complainant was explicitly categorized by Yang Ming as having “No PSS agreement” and classified as “Type 1,” which signaled to the pricing and sales teams that “no” follow-up action was required by those teams as to Complainant and that Yang Ming would prioritize other of their customers.¹¹⁶ Because Yang Ming viewed PSS as a necessary reflection of current market conditions, they chose to prioritize shipments for shippers who entered into PSS agreements.

125. Yang Ming’s practice of auctioning off space at a premium, while falling short on its service commitments, was operative throughout the 2021 Shipping Year. Yang Ming employees confirmed that a customer refusing to pay PSS could result in suspension of shipments¹¹⁷, effectively using PSS as a safeguard by preserving customers’ ability to continue shipping and avoid termination.¹¹⁸ Yang Ming customers were advised to agree to pay PSS to

¹¹⁵ Ex. 16 (YM_00051363).

¹¹⁶ Ex. 17 (YM_00051366).

¹¹⁷ Cobb Dep. Tr. 211:13-212:4 (“Q. So fair to say that if Mr. Lea decided not to pay the PSS we are talking about here, Yang Ming may have stopped moving shipments under that contract? A. No. It’s hard to say what we would do, one way or the other, because we ended up coming to an agreement. So, I’m not exactly sure what he would have done if we would have said no. If we would have said, you know, we want to cancel the contract. Or do we want to reduce his weekly allocation. I’m not exactly sure what the result would have been, because we came to an agreement. Q. But one possibility would be that Yang Ming stopped taking shipments under the contract. Correct? A. That’s correct.”).

¹¹⁸ Cobb Dep. Tr. 210:24-211:12 (“Q. Why would that protection be necessary? Why would the possibility of going to NVOs for these shipments arise? A. Well, having trouble getting -- because the clause in the contract stated that year, that if we can’t come to a mutual agreement, then we can either cancel the contract; or terminate the contract; or stop the shipments. So it was protecting him from keeping the shipments going, if we couldn’t come to an agreement. So that’s why I said he should consider paying the PSS. It was still his decision to pay the PSS, and the reasons behind it and what I had talked about, and what he had talked about.”).

protect their accounts and maintain direct carrier movement, thereby avoiding the need to seek space in the volatile open market through NVOs.¹¹⁹

126. Yang Ming sought to exploit higher rates through spot market prices, including floating NVOCC service contracts, at the expense of its fixed-price contract BCO customers like Complainant. In November 2021, Yang Ming employee Brian Chen was aware of “tight space” causing “space complaints” as well as “accounts with serious lifting behind MQC” when he sent an email with the subject “Space Shortage”.¹²⁰ At the very same time that these systematic space shortages to BCO customers were cresting, Chen was suggesting MQCs for *NVOCCs* of approximately 30,000 TEUs spread over two carriers.¹²¹

127. Fixed-rate service contracts typically involve fixed rates for the entire contract year, but contracts based on floating rates, such as Yang Ming’s service contracts with NVOCC customers, are adjusted periodically and, upon information and belief, sometimes as frequently as every two weeks to reflect market conditions. Yang Ming recognized that the rates were mainly driven by supply and demand. By systematically favoring floating NVOCC customers over fixed-price customers, Yang Ming was able to close the gap between its contract prices and the prevailing (and skyrocketing) spot market prices. Upon information and belief, Yang Ming sought to capitalize on the lucrative rates it could charge for cargo space on its ships by shifting freight to spot-market rate buyers. To be clear, upon information and belief, Yang Ming did not necessarily

¹¹⁹ Cobb Dep. Tr. 207:6-11 (“Q. Okay. And why should he take the PSS? A. Based on the market conditions at the time, in order to protect his account. And so, he did not have to go out into the open market with the NVOs. This would allow him to continue to move with the carrier direct.”).

¹²⁰ Ex. 52 (YM_01895958); Chen Dep. Tr. 63:12-20 (“Q. Okay. So the subject line of this email says “Space Shortage.” And the first line says “Due to tight space this year.” So this is an email you wrote. Is it fair to say that space was tight at this point, and that there was not enough space? A. During that time period, in 2021, the overall space -- spaces were tight, due to the impact of Covid-19.”).

¹²¹ Ex. 59 (YM_01907501).

care whether it shipped pursuant to fixed-rate contracts or otherwise—as long as it could access the high premiums for space on the open market, whether through floating rates with NVOCCs or high surcharges tacked on to a contract rate.

128. With the massive increase in spot market rates during the pandemic, and despite already lagging behind in its service commitments to Complainant and other BCOs with service contracts in the early months of the 2021 Shipping Year, upon information and belief, Yang Ming made the decision to continue to short its fixed-rate service commitments in favor of selling space to the highest bidder. This was an intentional direction: on May 18, 2021, Yang Ming’s Eastbound Marketing & Pricing team instructed sales teams to gather the “intention of customers *so we can conclude and decide our direction/action toward customer who holds different stances*” and to “report the outcome” of “those who accept and will file full amount” of PSS *and those who “raise[] objection[s].”*¹²²

129. In an internal Yang Ming email dated May 19, 2021, James Defilippis succinctly summarized the problem:

If our plan was to . . . chase the money and give the majority of the space to the spot market to get revenue, then the volume and numbers of accounts for the BCOs should have been reduced to reflect this and be realistic.

130. Perhaps just as succinctly, in an internal Yang Ming email dated May 27, 2021, Joel Yero stated that “*there will be more [consequences] to follow within the coming days if we do not start treating our BCO’s fairly.*”

131. Later, on June 7, 2021, Defilippis stated:

If [a] shipper calls to make a booking today for 10x40’s under his contract, he will not get space. If he calls an NVOCC who uses YML, let’s just say DSV or

¹²² Ex. 14 (YM_00054408).

Expeditors and books 10x40's with them *through YML* on their spot market contract, he will get 10x40's.

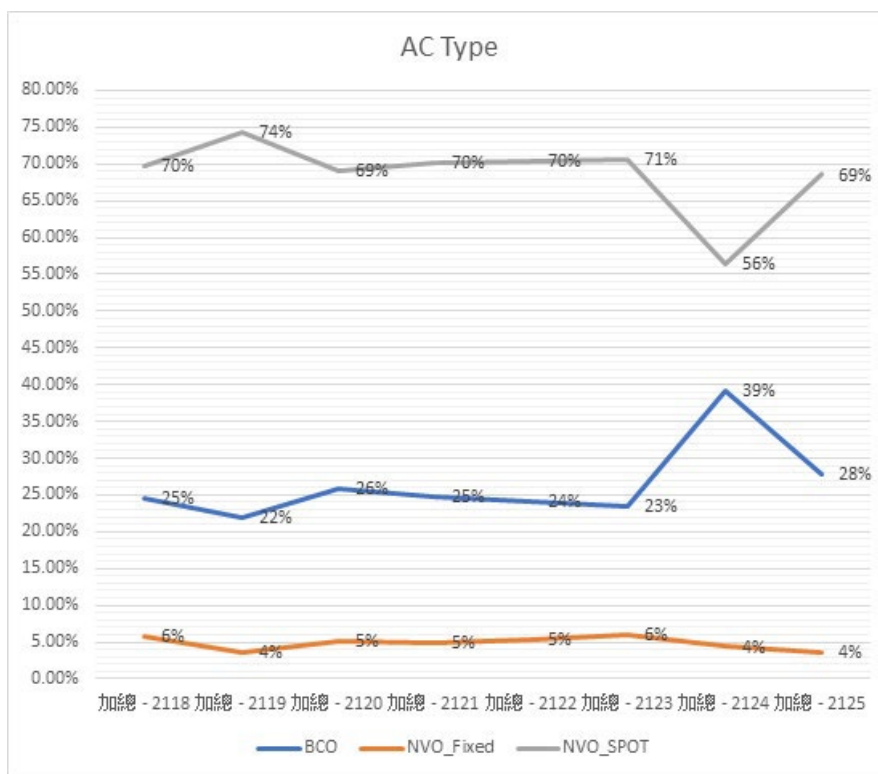
132. This complaint about Yang Ming's revenue chasing, and the ease of getting Yang Ming space on the spot market when that contracted-for space was otherwise denied, was widespread and well known to Yang Ming employees, who openly discussed it with apparent frustration. The conversation above began with Defilippis simply relaying the frustration he heard from customers:

I had a not so pleasant conversation with [a Yang Ming customer] today. I will not advise all of it as there was plenty of foul language used about our company and business practices. He still claims they are getting nothing despite your attached. He also claims he can get all the space he wants on YML through agents or forwarders by paying \$12,000-\$13,000 . . . unless we give these accounts something, I expect to hear the same threats over and over . . . [ellipsis in original] especially when they can get space through NVOCCs, it is sending an obvious message . . . [ellipsis in original] that we are ju[s]t chasing the revenue and his contract means nothing.

133. Yang Ming also had a policy of discriminating by giving additional space—over and above MQCs—to certain favored larger customers, thereby depleting the available space for other customers like Complainant for which Yang Ming was well behind on their MQCs.

134. Defilippis's May 27, 2021 internal email acknowledged the problem was widespread: *"Every single customer that calls, even the ones who want to sign a contract but we are turning away, knows what is happening. Someone is getting the space and it is the accounts that are paying the most."*

135. On July 13, 2021, corroborating Defilippis's account, and two and a half months into the 2021 Shipping Year, Yang Ming employee Bella Yang circulated a graph showing that the vast majority of space was going to "NVO_SPOT" shippers:



136. In an internal Yang Ming email dated August 20, 2021, Defilippis acknowledged that, even though shippers such as Complainant were receiving almost no space, “some of our major BCOs are receiving almost 400 TEUs above what we agreed to give them.” Defilippis called that “an *egregious amount* when *so many accounts are suffering with next to nothing*.” Even Defilippis’s proposed solution seemed to accept the inevitability of Yang Ming violating its service obligations: “Obviously, we need to take care of our big guys as we need them in the fold for years to come but I still do not understand how we cannot take 300 of those TEUs and satisfy 15 accounts that may be 20 TEUs short of what we agreed to each week and still be giving our big account 100 TEUs more than what we agreed.”

137. The discussions of Yang Ming’s employees about its open and obvious favoring of more expensive freight while shorting its BCO customers is laid bare in Yang Ming’s own performance data as well, showing that even if it is true that Yang Ming, at the beginning of the 2021 Shipping Year, planned to allocate 60% of space to NVOCCs and 40% of space to BCOs,

Yang Ming in reality much more heavily favored its NVOCC customers by in reality giving only ~30% of its space to BCOs and ~70% to NVOCCs.

138. Upon information and belief, Yang Ming's actions in deliberately failing to honor its service commitments and instead allocating space to the highest bidder also contributed to the inflationary spiral in container rates by artificially increasing demand, including by forcing shippers who had already negotiated service contracts into the open market to make up for shortfalls caused by Yang Ming's unfair and unreasonable practices.

139. Complainant was unaware of (1) the massive shortfalls discussed above regarding Yang Ming's prior performance for its BCO customers or (2) Yang Ming's policy of "sign now, renege later" when it came to MQC service commitments—which Yang Ming's representatives affirmatively concealed from Complainant—and reasonably relied on Yang Ming to fulfill Yang Ming's service commitment under the 2021 Service Contract.

140. Complainant complied with its own obligations under the 2021 Service Contract, including by diligently seeking to ensure that its forecasts to Yang Ming of Complainant's needs for the 2021 Shipping Year provided detailed information reflecting the actual volume of orders that Complainant was requesting Yang Ming to transport¹²³, regularly providing Yang Ming updated container forecasts¹²⁴, and regularly reviewing container space provided by Yang Ming.

¹²³ Morris Dep. Tr. 87:3-12 ("Q. Just, the forecast was supposed to be more better in information than just the weekly allotment? A. It was based off of written volumes. So the weekly allocation would have been, hey this was our annual number. he forecast would have been here's everything that we have written that we are asking our providers to carry based off of their percentage allocation.").

¹²⁴ Nickels Dep. Tr. 83:18-21 ("Q From your experience, would you say that Dollar General consistently provided FEU forecasts to Yang Ming? A They made a weekly forecast; that's correct."); Cobb Dep. Tr. 168:11-24 ("Q. So fair to say, Dollar General is making an effort to track its space allocations and bookings with Yang Ming? ATTORNEY KEANE: Asked and answered. You can answer it again. THE WITNESS: They just were trying to track if we were giving them the allocation per week, based on the allocation use and the allocation they had. But it didn't take into consideration if there was any fall down, or missed cutoffs, or anything on our side too. So they wanted a basic report of what their allocation was and what was used during the week, and on what service."); Morris Dep. Tr. 84:12-21 ("Q. how would Dollar General let Yang Ming know how much cargo it had for a particular voyage and port, and how

141. Yang Ming's performance—or lack thereof—under the 2021 Service Contract was abysmal. In all, during the 2021 Service Contract year, despite committing at the outset to provide 2,226 FEUs of space to Complainant, Yang Ming carried only approximately 616 FEUs of cargo for Complainant. As a result of Yang Ming's approximately 1,610-FEU shortfall, Complainant was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely. As a result, based on average amounts paid, Complainant has been damaged by at least \$14.77 million.

Yang Ming's Refusals to Deal or Negotiate

142. Yang Ming's conduct with respect to Complainant as alleged herein constituted unlawful refusals to deal or negotiate.

143. Complainant and Yang Ming engaged in detailed discussions regarding forecasts breaking down Complainant's anticipated needs under the 2021 Service Contract. However, as alleged above, when Complainant or its agents actually sought to book the space for which Complainant had contracted, Complainant was unable to secure the space at the appropriate prices, if at all, due to Yang Ming's practices alleged herein of refusing to deal with Complainant pursuant to the 2021 Service Contract in favor of more expensive freight in the form of added surcharges or by selling Complainant's bargained-for space to other shippers who agreed to pay higher prices.

144. As alleged herein, Yang Ming's refusals to deal or meet its service commitments continued throughout the term of the 2021 Service Contract.

would Yang Ming respond to that, if it responded to tell you we can accommodate X or however they may have handled it? A. So we have, we built on forecasts. Yeah, we built out forecasts is the answer. And then again the very minimum, you know, MQC.”); Attachment A of Complainant's Supplemental Objections and Responses to Respondent's First Set of Interrogatories, Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp., FMC Docket No. 25-12 (Apr. 17, 2026).

Yang Ming's Retaliation

145. In response to Complainant raising concerns and complaints related to Yang Ming's unjust and unreasonable practices, including Yang Ming's failure to meet its service commitment under the 2021 Service Contract and imposition of charges related to dwell fees at certain ports, Yang Ming retaliated against Complainant by deliberately refusing to allocate shipping space to Complainant (while telling Complainant that its refusal was due to "congestion" and other factors stemming from the COVID-19 pandemic) and refusing to engage in good-faith negotiations over the parties' service contract for the 2022–2023 shipping year, specifically targeting Complainant for its prior complaints regarding MQC shortfalls and imposition of charges related to dwell fees at certain ports. Following an internal directive to cut MQC from accounts which Yang Ming "consider[ed] is [*sic*] difficult to deal", ***Yang Ming unilaterally reduced Complainant's offered capacity by over 40%*** and placed Complainant on an internal monitoring list of accounts that could attract attention from regulatory authorities.¹²⁵ Internally, these actions were explicitly recognized by Yang Ming's own employees as potentially discriminatory and retaliatory.

146. Complainant was harmed during the 2021 Shipping Year by Yang Ming's unreasonable, discriminatory, and retaliatory policies, which required that Complainant, instead of receiving competitive service contract rates from Yang Ming, either pay artificially inflated rates for carriage with Yang Ming or seek carriage on the open market, in an amount to be proven at trial.

147. Complainant's documented efforts to hold Yang Ming to its service commitments, discussed in detail above, actually had the opposite effect, leading Yang Ming to retaliate against

¹²⁵ Compare Ex. 43 (DGFMC-0001759) (1,321 FEU MQC) with Ex. 1 (2021 Service Contract) (2,226 FEU MQC).

Complainant by flagging it as a problem customer to be disfavored in further cargo space allocation.

148. As Yang Ming prepared for negotiations for the 2022 service contract year, it was already determining which shippers would be punished with reduced MQCs. Ahead of negotiations for the 2022 shipping year, Yang Ming purportedly planned a 25% across-the-board cut of its customers' MQC (itself a dramatic and implicit recognition of Yang Ming's systematic failure to meet its service commitments to its customers).¹²⁶ In communicating this cut to Yang Ming's customers, Sandy Hsu wrote in an email, dated February 13, 2022:

“As we realize that we are unable to fully support customer under this circumstance, so our policy is to reduce the MQC for all customers that we sign next year. This is to better serve our accounts in 2022 with a more reasonable and achievable MQC number.”¹²⁷

149. Yang Ming's documents show, however, that Yang Ming sought to achieve this drastic MQC reduction by specifically targeting customers that had complained during the 2021 Shipping Year and/or that Yang Ming thought created potential legal exposure to Yang Ming.

¹²⁶ Ex. 5 (YM_0177727); Ex. 64 (YM_01025904); Ex. 41 (YM_00601422); Hsu Dep. Tr. 90:1-9 (“Based on this email you have no reason to believe this 25 percent MQC reduction was being applied only to customer comment, correct? A. Just based upon this email, I cannot tell that these practice was only applicable to Comet. Q. So it's possible it was applicable to other of Yang Ming's customers, correct. A. Yes.”); Chen Dep. Tr. 78:22-79:13 (“Did you ever tell her, or did anyone else at Yang Ming, to your knowledge, ever tell her that we were cutting -- you were cutting back MQC 25 percent? A. Having considered the severity of Covid-19, and its impact to the logistics and supply chain in 2021, when we planned for the new contracts for 2022, we considered the situation in the previous year. And also, we were not sure that for 2022, whether Covid may become more severe or disappeared. Therefore, when we set the MQC goal for 2022, that was based on a situation of 2021. And we reduced MQC goal by 25 percent. So it really reflected the impact of Covid. And also, the impact to the supply chain. And also, its effect on the supply of the spaces.”).

¹²⁷ YANGMING00039215 (emphasis added); Complainant's Appendix to the Opening Brief, *Bed Bath & Beyond Inc. v. Yang Ming Marine Transport Corp.*, FMC Docket No. 23-10, (Mar. 6, 2025) (Doc. No. 41); Revised Complainant's Appendix to Opening Brief (Public Redacted), *Bed Bath & Beyond Inc. v. Yang Ming Marine Transport Corp.*, FMC Docket No. 23-10, (May 28, 2025) (Doc. No. 57).

Literally at the top of their list was Yang Ming BCO Customer No. 1, slated for an MQC reduction of **40%**.¹²⁸

150. Complainant was also targeted by Yang Ming in this way. Indeed, a putative service contract between Complainant and Yang Ming for the 2022-2023 shipping year reflects that ***Yang Ming targeted Complainant for a retaliatory MQC reduction of over 40%*** as compared to the 2021 Service Contract—i.e., ***the same MQC reduction planned for “top of the list” Yang Ming BCO Customer No. 1.***¹²⁹

151. On December 9, 2021, Yang Ming’s Michael Wu sent an email to his South Atlantic Sales team, stating:

“Since most current A/Cs intends to sign in 2022, the room for new A/Cs/increment on current A/Cs seems to be very limited. ***We plan to cut MQC from accounts which we consider is [sic] difficult to deal (I would say [Yang Ming BCO Customer No. 1] is on the top list)*** to leave some room for others. . . . Nevertheless, it will still be hard to maintain 2021 MQC for certain A/Cs while all A/Cs looking for more & ***new A/Cs coming with a goal of 25% decrease in MQC in 2022.***”¹³⁰

152. During his deposition in this proceeding, Michael Wu explained this language as follows:

“Q. And in that sentence, you say: “We plan to cut MQC from accounts which we considered is difficult to deal (I would say [Yang Ming BCO Customer No. 1] is on the top list), to leave some room for others.” Correct?

A. ***Yes. For [Yang Ming BCO Customer No. 1], they do have their own templates for the contract, with many terms that are unilaterally favorable to the customer, and overwhelmingly not beneficial to us.***

And for these customers, their cargo volume at the discharging port did not really match our capacity. ***And, therefore, for these customers, we may consider reducing collaboration with them.***

¹²⁸ Ex. 60 (YM_01906175).

¹²⁹ Compare Ex. 43 (DGPMC-0001759) (1,321 FEU MQC) with Ex. 1 (2021 Service Contract) (2,226 FEU MQC).

¹³⁰ Ex. 64 (YM_01025904) (emphasis added).

Q. Is that what you mean by this line, “accounts which we consider is difficult to deal?”

A. Yes. *That is mainly concerning those with contract terms that are more difficult for the shipping carriers.* And also, the volume at the [origin] port does not match our capacity.”¹³¹

153. Wu’s framing of Yang Ming’s customer contracts with “terms that are unilaterally favorable to the customer, and overwhelmingly not beneficial to us” applied to Complainant, whose 2021 Service Contract with Yang Ming required Yang Ming to make available no less than 130% of weekly prorated volume based on Complainant’s forecasts, which Complainant sent with regularity.¹³²

154. Complainant’s frequent, justified complaints to Yang Ming throughout the 2021 Shipping Year also put Complainant in the crosshairs of Yang Ming’s retaliatory practices. On January 3, 2022, Yang Ming’s Brian Chen wrote internally to Michael Wu, Sandy Hsu, and Sherry Chang (Yang Ming’s Eastbound Marketing & Pricing representatives to the North American South Atlantic, North Atlantic, and Middle Atlantic regions, respectively), stating that: “*As per previous discussion , since BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority, pls assist monitor space [sic] complaints or issues in your regions, and pls keep me posted.*”¹³³

¹³¹ Wu Dep. Tr. 136:15-137:8 (emphasis added); see also Chen Dep. Tr. 28:5-22.

¹³² Cobb Dep. Tr. 96:6-18 (“Q. Was a provision like this common in the BCO service contracts that you worked with? A. No. It was not common. I have seen it before, but it's not normally in the terms and conditions. Q. So it's generally something -- you would be generally surprised to see a provision in a service contract like this? A. I would. Q. And it would be something unique to take into account in your servicing of a service contract with that BCO. Correct? A. Yes.”); Attachment A of Complainant’s Supplemental Objections and Responses to Respondent’s First Set of Interrogatories, Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp., FMC Docket No. 25-12 (Apr. 17, 2026).

¹³³ Ex. 53 (YM_00617077) (emphasis added).

155. Chen's January 3, 2022 email included an Excel spreadsheet attachment that listed, at the very top, Complainant. That spreadsheet also listed a number of other Yang Ming customers, including Yang Ming BCO Customer No. 1, and Yang Ming's service performance for those customers, including Yang Ming's MQC shortfalls for those customers.¹³⁴ Yang Ming knew Complainant and certain other customers were particularly unsatisfied with Yang Ming's performance, deliberately tracked those customers, and targeted them for reduced service in upcoming contract negotiations.¹³⁵

156. Yang Ming explicitly applied the above-discussed policy to Complainant's detriment. On March 24, 2022, Michael Wu, the Yang Ming employee in charge of marketing and business management of Eastbound Marketing & Pricing Team B for the Commercial Transpacific Department who was responsible for Yang Ming's account for Complainant for the 2021 Shipping Year, stated (originally in Mandarin) internally to other of his Yang Ming colleagues the following:

"The following supplement is for internal reference only and should not be disclosed to the client.

The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.

Since we have received no further updates from the client after rejecting their statement, and given the delay in the effective date of the fee, we can consider releasing some bookings to the client. ***However, we would like to implement some level of monitoring; therefore we are not considering removing the restriction from the system.***"¹³⁶

¹³⁴ Ex. 54 (YM_00617081).

¹³⁵ Wu Dep. Tr. 137:1-2 ("... [T]herefore, for these customers, we may consider reducing collaboration with them.")

¹³⁶ Ex. 63 (YM_01680094); Ex. 63a (YM_01680094 (Certified Translation)).

157. Yang Ming’s retaliatory manipulation of its booking system, notwithstanding its service commitment to Complainant in the 2021 Service Contract, speaks to a systemic internal policy of retaliation.¹³⁷

158. Yang Ming’s retaliatory conduct significantly damaged Complainant’s ability to have its goods shipped to the United States. Indeed, the sequence of actions by Yang Ming — imposing unreasonable rates, reducing MQC unilaterally, and failing to adjust prices—severely impacted Complainant’s ability to manage its supply chain effectively, forcing it into the spot market and significantly increasing its costs.

159. Complainant’s complaint against Yang Ming for its failure to provide contracted space caused Yang Ming to retaliate against Complainant. This is evidenced by Yang Ming’s systemic and ever-increasing violations of the Shipping Act, which occurred in parallel with Complainant’s documented efforts to hold Yang Ming to its service commitments. As Complainant escalated its criticisms of Yang Ming’s failure to meet its MQC obligations, Yang Ming responded by flagging Complainant as a difficult account, placing retaliatory booking restrictions in its internal system under the pretext of port congestion, and deliberately targeting Complainant for drastic MQC reductions in subsequent contract years to punish Complainant for its insistence on contract performance.

Complainant’s Injuries

160. As alleged herein, Yang Ming’s behavior has caused significant harm to Complainant in numerous ways, such as producing delays in freight transportation, causing uncertainty within the business, and disrupting Complainant’s ability to ensure the timely

¹³⁷ Ex. 63A (YM_01680094 (Certified Translation)) (emphasis added).

availability of merchandise for sale to U.S. customers, and resulting in injuries, including lost profits, in an amount to be determined at trial.

161. Yang Ming's shortfalls in honoring its service commitment during the 2021 Shipping Year forced Complainant to secure space on the open market at high prices, resulting in damages based on average amounts paid of at least \$14.77 million.

162. Yang Ming's unjust, unreasonable, and retaliatory conduct in failing to meet its service commitments and delivering only 616 FEUs of the agreed 2,226 FEUs, insisting on artificially inflated rates, and lowering Complainant's MQC in the parties' putative 2022-23 service contract caused Complainant to suffer a shortfall of approximately 1,610 FEUs and increased prices related to the 2022-2023 shipping year, resulting in injuries including lost profits and excess freight charges to pay excessive ocean freight rates for carriage, in an amount to be proven at trial.

* * *

163. As the FMC's Chief Administrative Law Judge has already found in another matter alleging similar wrongdoing by another carrier, abuses like those alleged herein are matters of "*national importance*." Abusive, unjust, and unreasonable practices by major international ocean carriers, such as the conduct alleged herein, are likely to wield outsized influence over general practices in the industry. If not corrected, Yang Ming's unlawful practices may become industry standard, sending a message to all global container lines that it is acceptable to ignore service contracts.

164. Complainant previously notified Yang Ming of its Shipping Act claims alleged herein, and thereafter Complainant and Yang Ming entered into a tolling agreement with respect

to such claims effective as of April 15, 2024 through the present. As such, Complainant's claims alleged herein are timely brought.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

165. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

166. Yang Ming's practices alleged herein of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers constituted failures by Yang Ming to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(2)

167. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

168. Yang Ming's practices alleged herein of systematically failing to meet its service commitment to Complainant and refusing to honor the agreed rates under the 2021 Service Contract—including by declining to release bookings due to internal rate filing issues and attempting to charge rates inconsistent with the final agreed terms—constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Yang Ming's 2021 Service Contract with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(10)

169. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

170. Yang Ming's practices alleged herein of systematically failing to meet its service commitments to Complainant, failing to negotiate in good faith future service contracts, and preferring higher priced carriage of other shippers' cargo constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10).

COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(5)

171. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

172. Yang Ming's practices of systematically failing to meet service commitments, refusing to honor contract rates, and failing to provide vessel space for Complainant's cargo originating from or destined for the ports intended to be covered by Complainant's 2021 Service Contract—including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States—while simultaneously providing vessel space to other higher-paying shippers on the same routes, constituted unfair and unjustly discriminatory practices in the matter of rates and charges with respect to those ports, in violation of 46 U.S.C. § 41104(a)(5).

COUNT V: VIOLATION OF 46 U.S.C. § 41104(a)(9)

173. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

174. Yang Ming’s systematic failure to provide vessel space and meet service commitments for Complainant’s cargo originating from or destined for specific ports—specifically including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States —gave undue and unreasonable preference and advantage to other shippers shipping to or from those ports while simultaneously imposing undue and unreasonable prejudice and disadvantage on Complainant’s cargo to be shipped to or from those ports. By prioritizing more lucrative routes and higher-priced cargo at the expense of its contractual obligations to Complainant with respect to these specific ports, and redirecting vessel capacity to other world regions or routes, Yang Ming engaged in a clear pattern of conduct targeted at the port pairs that were supposed to be covered by Complainant’s 2021 Service Contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(9).

COUNT VI: VIOLATION OF THE FORMER 46 U.S.C. § 41104(a)(3)
(NOW CODIFIED AT 46 U.S.C. § 41102(d))

175. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

176. In response to Complainant’s complaints about Yang Ming’s unjust and unreasonable practices as alleged herein, Yang Ming retaliated against Complainant, refusing available cargo space allocation, and failing to negotiate in good faith future service contracts, in violation of the former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d).

VII. CAUSATION

177. Yang Ming's practices of systematically failing to meet its service commitment to Complainant, refusing to honor contract rates, failing to provide vessel space for shipments destined for or originating from specific ports, implementing discriminatory practices with respect to the ports that were supposed to be covered by the 2021 Service Contract, and engaging in retaliatory conduct, has directly and proximately injured Complainant by forcing Complainant to make alternate transportation arrangements at substantially higher prices for cargo that could and should have been carried by Yang Ming pursuant to the terms of the 2021 Service Contract, or forgo shipping such cargo altogether.

178. Yang Ming's conduct has caused Complainant to incur other injuries, including delays, failures to receive time-sensitive merchandise, failures to receive contract rates, the loss of vessel space at specific ports, reduced inventory available for sale, unnecessary expenses, lost profits, as well as attorneys' fees and expenses relating to litigation.

VIII. REPARATIONS SOUGHT/COMPLAINANT'S DAMAGES

179. Yang Ming's alleged misconduct has injured Complainant in several ways.

180. During the term of the 2021 Service Contract, Yang Ming's misconduct alleged herein caused Yang Ming to carry only approximately 616 FEUs of the 2,226-FEU MQC in the 2021 Service Contract for Complainant, resulting in an approximately 1,610-FEU shortfall for which Complainant had to make alternate transportation arrangements at higher prices or forgo shipping such cargo altogether, resulting in excess freight charges paid, lost profits, and/or other business damage.

181. The additional incremental cost of replacing Yang Ming's approximately 1,610-FEU shortfall during the 2021 Shipping Year based on average amounts paid was at least \$14.77

million more than what Complainant would have paid had Yang Ming honored its service commitments.

182. Complainant further suffered damages as a direct result of Yang Ming's retaliatory conduct and discriminatory practices. By refusing or threatening to refuse cargo space accommodations and by discriminating against the specific ports utilized by Complainant in favor of higher-paying cargo, and by giving undue or unreasonable preference to other shippers or localities while imposing undue or unreasonable prejudice or disadvantage with respect to specific ports, Yang Ming effectively forced Complainant into the spot market or caused a total loss of sales for goods destined for those specific localities.

183. As recently recognized by the FMC's Chief Administrative Law Judge in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG et al.*, FMC Docket No. 21-11, in which an ocean common carrier similarly failed to fulfill its service commitments and caused a shortfall of container carriage for the shipper, lost profits can be determined by calculating the average profits per container of the shipper's cargo actually carried by the carrier multiplied by the shortfall of containers that the carrier failed to carry. The per-container average profit applicable to Complainant's goods for the relevant time period is a matter of fact to be proven at trial, and at least one methodology of calculating Complainant's lost profits would be to multiply Complainant's average per-container profit by Yang Ming's service commitment shortfall of approximately 1,610 FEUs. Complainant's lost profits shall be demonstrated in an amount to be proven at trial.

184. The lost profits sustained by Complainant on a per-container basis substantially exceeded the excess costs incurred by Complainant's purchase of alternative carriage in amounts to be proven at trial.

185. Yang Ming's retaliatory conduct against Complainant alleged herein further harmed Complainant, including by causing Complainant to pay excessive ocean freight rates for carriage, in an amount to be proven at trial.

186. In all, the injuries alleged in this Amended Complaint total an amount up to or exceeding \$14.77 million, in addition to other injuries, including lost profits and damages resulting from unlawful retaliation and port discrimination, to be calculated at trial.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that the FMC require Yang Ming to answer this Amended Complaint pursuant to 46 U.S.C. Section 41301(b), and prays for relief from the FMC as follows:

1. An investigation by the FMC pursuant to 46 U.S.C. Section 41301(c) of the allegations in this Amended Complaint;
2. An Order, after due investigation pursuant to 46 U.S.C. Section 41301(c), finding that Yang Ming has violated 46 U.S.C. Section 41102(c) by systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers under its service contracts, that Yang Ming has violated 46 U.S.C. Section 41104(a)(2) by providing service not in accordance with the rules and practices contained in Yang Ming's 2021 Service Contract with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, that Yang Ming has violated 46 U.S.C. Section 41104(a)(10) by unreasonably refusing to deal or negotiate with Complainant concerning Yang Ming's systematic failure to meet its service commitments to Complainant under the 2021 Service Contract, that Yang Ming has violated 46 U.S.C. Section 41104(a)(5) by engaging in unfair or unjustly discriminatory practices in the matter of rates and charges with respect to the ports that were

supposed to be covered by the 2021 Service Contract, that Yang Ming has violated 46 U.S.C. Section 41104(a)(9) by giving undue or unreasonable preference or advantage to others and imposing undue or unreasonable prejudice or disadvantage to Complainant with respect to the ports that were supposed to be covered by the 2021 Service Contract, and that Yang Ming has violated 46 U.S.C. Section 41102(d) by retaliating against Complainant;

3. An Order compelling Yang Ming to cease and desist from violation of the Shipping Act, and to put in place lawful and reasonable practices to preclude Yang Ming from systematically failing to meet its service commitments to Complainant and other shippers under its service contracts, engaging in port-based discrimination, or resorting to retaliatory methods;

4. An Order requiring Yang Ming to pay Complainant reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, including additional reparations for injury caused by port discrimination, with interest pursuant to 46 U.S.C. Section 41305(a), Complainant's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

5. An Order pursuant to 46 U.S.C. Section 41305(c) finding that the injuries alleged herein were caused by retaliatory activities by Yang Ming prohibited by the former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d), and ordering the payment by Yang Ming to Complainant of an additional amount equaling the total amount of reparations awarded to Complainant in this proceeding, such that Complainant's total recovery shall equal twice the amount of Complainant's actual injuries; and

6. Such other and further orders or relief as the FMC deems just and proper.

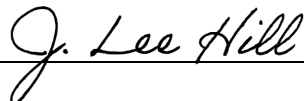
X. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, DC.

Dated: May 28, 2026

Respectfully submitted,

HUTH REYNOLDS LLP



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*Counsel for Complainant Dollar General
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VERIFICATION

I, Chelsea Morris, am Vice President of Global Inbound Transportation of Dollar General Corporation, 100 Mission Ridge Dr., Goodlettsville, Tennessee 37072, telephone 615-855-4000, email cmorris@dollargeneral.com. I have read the foregoing Verified First Amended Complaint and believe, to the best of my knowledge, information, and belief, including information received from others and publicly available information, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct.

Executed on May 28, 2026

Signed by:

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Chelsea Morris
VP, Global Inbound Transportation